

Canara HSBC (CANHLIFE)

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Call: Oct 2025

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To,

National Stock Exchange of India Limited
("NSE")

Listing Department, Exchange Plaza, C-1 Block G, Bandra
Kurla Complex Bandra [East], Mumbai –
400051 To,

BSE Limited ("BSE")

Listing Department, Corporate Relationship Department, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai - 400 001

NSE Scrip Symbol: CANHLIFE BSE Scrip Code: 544583

ISIN: INE01TY01017 ISIN: INE01TY01017

Subject: Disclosure under Regulation 30 read with Schedule III of the Securities and
Exchange Board of India (Listing Obligations and Disclosure Requirements)
Regulations, 2015- Transcript

Dear Sir/ Ma'am,

As per Regulation 30 read with Schedule III of the Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the
discussion on the Unaudited Financial Results of the Company for the quarter and half year
ended 30th September 2025, at the analyst meet held on 27th October 2025 is available on
the website of the Company at www.canarahsbclife.com.

The analyst meet, conducted through Audio means concluded at 7.00 p.m.(IST) on 27th
October 2025.

This is for your information and records.

Thanking You,

For Canara HSBC Life Insurance Company Limited

Vatsala Sameer

Company Secretary and Compliance Officer

Membership No: A14813

Encl.: As above

Canara HSBC Life Insurance Limited

October 27, 2025

Page 1 of 15

"Canara HSBC Life Insurance Limited Q2 FY'26
Earnings Conference Call"

October 27, 2025

MANAGEMENT : M R. ANUJ MATHUR - MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , CANARA HSBC LIFE
INSURANCE LIMITED

MR. TARUN RUSTAGI - CHIEF FINANCIAL OFFICER ,
CANARA HSBC LIFE INSURANCE LIMITED

MR. SOLY THOMAS - CHIEF DISTRIBUTION OFFICER ,
CANARA HSBC LIFE INSURANCE LIMITED

MR. NITIN AGARWAL - APPOINTED ACTUARY ,
CANARA HSBC LIFE INSURANCE LIMITED

MR. AMIT JAIN - HEAD INVESTOR RELATIONS ,
CANARA HSBC LIFE INSURANCE LIMITED
MODERATOR : M R. PRAYESH JAIN - MOTILAL OSWAL FINANCIAL
SERVICES LIMITED

Canara HSBC Life Insurance Limited
October 27, 2025

Page 2 of 15

Moderator: Ladies and gentlemen, good day and welcome to the Canara HSBC Life Insurance Limited Q2 FY'26 Earnings Conference Call Hosted by Motilal Oswal.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prayesh Jain from Motilal Oswal. Thank you and over to you, sir.

Prayesh Jain: Thank you, Sagar. Good evening, everyone, and welcome to the Q2 FY'26 Earnings Call of Canara HSBC Life Insurance.

Today from the Company, we have with us Mr. Anuj Mathur – MD & CEO, Mr. Tarun Rustagi – CFO, Mr. Nitin Agarwal – the Appointed Actuary and Mr. Amit Jain, who is the head IR.

I would now hand over the call to Anuj for his opening remarks, which will be followed up by a Q&A session. Thank you and over to you, Anuj.

Anuj Mathur: Thanks, Prayesh, and good evening, everyone. A very warm welcome to the first earnings call of Canara HSBC Life Insurance for the half-year ended 30th of September 2025. My apologies

for a bit delay in starting the conversation, which was because of technical issue. But sincerely thank all of you for your time and thoughtful analysis of our results. Your continued engagement and insights are deeply valued.

The financial results update is available on our website as well as on the websites of both the stock exchanges. We have also circulated deck containing key business highlights and happy to share some of them in this call. As Prayesh mentioned, I have got my colleagues from the top Management Team. They are here with me. In fact, I also have Soly Thomas, who is the Chief Distribution Officer, Bancassurance, in addition to Tarun, Nitin and Amit.

Let me begin by extending my best wishes for this Festival Season and a Prosperous New Year ahead.

This half-year marks a significant milestone in our journey. Our listing on the Indian stock exchanges represent a pivotal moment, signaling our transition into the next phase of growth, more transparency and governance, and long-term value creation. This listing is not the culmination of our journey, but rather the foundation upon which we will build scale, diversification and deeper customer penetration.

First, I will give you a brief overview of the sector, which will be followed by key highlights about the results.

Canara HSBC Life Insurance Limited
October 27, 2025

Page 3 of 15

The GST exemption on life insurance premium is a landmark reform that has arrived at a very crucial juncture for the industry. It addresses not only affordability but also long-term customer behaviour by improving persistency, deepening adoption and expanding the base of first-time buyers. In principle, it reinforces life insurance as a core savings and protection need rather than just a discretionary purchase. We believe this reform will significantly extend the industry's growth trajectory over the coming years. It also aligns well with the government's vision of insurance for all by 2047. Also, given our strong back-insurance network, we are well positioned to capitalize on opportunities arising from GST rationalization and increased demand which we are going to witness from Tier-2 and Tier-3 cities.

On the macroeconomic front:

The global environment remains volatile due to ongoing tariff and trade uncertainties and prolonged geopolitical tensions, which pose some downward risk to global growth. However, the Indian economy continues to demonstrate structural resilience, reflected in stable GDP growth and a benign inflationary environment. High frequency indicators suggest that domestic economic activity should remain robust.

ust.

Now, I would like to discuss the highlights of the business performance for H1 FY'26: Our individual weighted premium income, WPI, which is regular first-year premium, plus 10% of single premium, grew at a steady pace of 14 % year-on-year growth, driven by disciplined

execution and a balanced product mix. We continue to outperform both the overall private player's growth of 8% and industry growth of 2% during this period. This performance is a continuation of our outperformance on a 3-year, 5-year and 10-year basis CAGR. Our market share in private life insurance space has also improved by 20 basis points over the previous year. And if I talk about private sector industry growth, our growth vis-à-vis private sector, our market share is 2.6%. And at the overall industry level, our market share is 1.8% for the financial year 2025.

Total APE grew by 11% year-on-year, remaining range-bound. However, our renewal premium grew by a healthy 29% year-on-year, as a result of improved persistency across most cohorts. Our 13-month and 61-month persistency has been improving consistently and stands at 84.4% and 58.4% as of 30

th September 2025 respectively. We have seen a jump of 1.9% in 13-month persistency over financial year 2025. We continue to see strong growth in our credit life business, which has grown by over 40% year-on-year.

Now, I'd like to touch upon the product mix: So, our product mix is trending towards more of traditional mix compared to last year. The non-

linked business grew at a healthy pace, reflecting a gradual shift in customer preference towards non-PAR products in a benign interest rate environment. As a result, the share of traditional business stood at 50%, improved by 3% from FY'25 mix. Within traditional products, we

Canara HSBC Life Insurance Limited

October 27, 2025

Page 4 of 15

continue to focus on the annuity segment, which now constitutes roughly 16% of our overall business. Despite volatility in equity markets, customer preference toward linked products continues, which is reflected in our share of linked business remaining steady at 50%, though it has declined by 4% versus FY'25. Our ULIP products are not only ensuring wealth creation but as we have started offering riders along with the ULIP products, also providing policyholders to have enhanced protection cover through various options. This is also helping us in enhancing our margins on ULIP products. Share of protection is now at 8% versus 4% in FY'25, with growth visible in both individual as well as the group credit life segment.

I will now move to channel-wise performance:

Canara Bank channel continues to show robust growth, supported by increased branch activation and strategic efforts to penetrate deeper into Tier-3 and tier 4 markets, driven through customer segmentation and data analytics into high-propensity customers. Our partnership with HSBC gives us access to niche customer segment where persistency is better than overall persistency rates. We have also launched agency business in this month and we have planned for gradual ramp-up of agency channels.

I will now cover the financial and operating performance:

Our value of new business, VNB, for H1 stood at Rs. 214 crores, which is a growth of 21% year-on-year. The new business margin, or the VNB margin, stood at 19.6%, reflecting a 150 basis points improvement year-on-year, 1.5% improvement year-on-year. The margin expansion was combination of rising volumes with increased rider attachments. However, this was partially offset by 50 basis points impact on account of GST. Of this, only 10 basis points impact pertains to policies written after September 2025. Basis this, we expect an annualized impact of approximately 2.25% on our margins. This is without management action. And our endeavor will be to keep our margins similar to FY'25 levels. With the withdrawal of input tax credit under the new GST regime, we may see some short-term i

mplications. But as a company, we are well prepared to navigate this transition. We are actively implementing a series of measures to mitigate the impact. As part of our strategic review, we are optimizing our product mix, with a clear focus on enhancing product level profitability. This will be driven by targeted initiatives aimed at improving margins across key offerings. Structurally, we believe this reform will strengthen the industry over the long term and there are going to be real benefits for the industry from long-term perspective.

Talking of operational efficiency:

The expense ratio improved to 19% for the half-year ended September 2025 versus 20.5% for similar period last year. So, there is a reduction of 1.5%. Our embedded value, EV, grew by 17% year-on-year, reaching Rs. 6,543 crores with an operating ROEV of 17.4% on a rolling 12-month basis. There is going to be approximately 30 basis point impact on EV due to GST.

Canara HSBC Life Insurance Limited

October 27, 2025

Page 5 of 15

I will also touch upon some other financial metrics:

Our profit after tax for H1 stood at Rs. 64 crores, which is an increase of 16% year-on-year. Our

assets under management stood at roughly Rs. 44,000 crores, growing 11% year-on-year. So, just to conclude, we remain very confident in the long-term growth potential of the Indian life insurance sector and particularly our growth trajectory and sound and improving financials. The recent GST reform is a step in the right direction and reflects the Government's commitment to expand insurance coverage across the country. And we are well poised to take full advantage of the same because of access to customers in Tier-2, Tier-3, tier 4 cities as well. We will continue to capitalize on our strong banca distribution to deepen penetration driven by a team of seasoned professionals. In parallel, we continue to invest in advanced digital and GenAI capabilities to elevate customer experience, expand our value proposition and drive operational efficiency.

So, thanks a lot for your time and happy to take questions. Over to you guys. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. Our first question comes from the line of Mohit Mangal from Centrum. Please go ahead.

Mohit Mangal: Thanks for the opportunity and congratulations on successful listing. My first question is basically the impact of GST. You said that it's 0.5%. So, if you can just bifurcate between, what was the new business premium impact that is basically the business procured after 22nd

September and the renewal premium and how do you see the impact on annual basis? Will it be 0.5% or how do you kind of foresee this?

Anuj Mathur: Right. So, thanks Mohit for asking that question. So, I think I partially covered this in my earlier discussion where I mentioned that for the full year and this is without taking any management action, it will be about 2.25%. But we have taken a couple of measures and through that, we are confident that we will be able to kind of retain our current new business margins going forward.

There will be short-term impact, but because of various initiatives which we have taken, we will be able to kind of go back to the numbers which we had earlier envisaged.

Mohit Mangal: Understood. That's helpful. My second question is on the product mix. So, ULIP is still 50% odd. Do you think that we go to around 37% which was there in financial year '24 or should we see ULIP at elevated levels?

Anuj Mathur: See, I think it's basically the customer demand which is quite evident in the market. It was evident last year also and currently also we are seeing that customer preference is actually, particularly in metro cities, is moving towards Unit Linked and as such, see there's no problem with the Unit Linked business as long as you can protect your margins. And we have taken a number of measures to kind of protect our VNB

margins. So, first of all, our cost is kind of cost-base is very low. We are quite efficient that way. In terms of our total cost ratio, you will see Canara HSBC Life Insurance Limited
October 27, 2025

Page 6 of 15

that we are in top quartile, which helps us to optimize VNB margins. Number two, through new products launches which we are going to do and various other measures including further sustainable saves, further OpEx savings, we will be able to kind of protect. Also, I would like to mention that along with the Unit Linked products, now we are also attaching riders. So, that's something which we have started about three months back and we are already seeing a good amount of premium coming from riders. attachment. So, that also helps in improving the VNB margins, plus our focus on protection business. So, there also, now we are looking at both retail protection as well as the group trade and as I already mentioned, we have seen growth of more than 40% in our credit life portfolio. So, all these measures will help us to kind of recoup whatever loss is there on account of input credit. So, we are fairly confident that we will be able to maintain our VNB margins to the levels which I have already spoken about.

Mohit Mangal: Right. Just one clarification. So, looking at your PPT, basically the product mix on the basis of APE. So, a non-PAR is basically the savings component which is 17%. Is that understanding right?

Anuj Mathur: Yes. 17% is non-PAR savings, traditional.

Mohit Mangal: Okay. I will join back in the queue. Thanks and wish you all the best.

Anuj Mathur: Thank you very much.

Moderator: Thank you. Our next question comes from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: Hi, sir. Good evening. Thank you for the opportunity. So, sir, I think, I mean, my first question was in terms of your cost ratio. So, you have highlighted that there is a 100 business points kind of improvement in the cost ratio. I wanted to understand, sir, that as we set up our agency business, what will be the impact on the cost ratios and subsequently on the margins because of that? And if you could give us some guidance related to the margins going forward, because I think these are the two key events. One is basically your investment in the business primarily on the agency side, as well as the GST impact, which you were saying that you are trying to mitigate. But if you could give some glide path on how do you see factoring in these two events,

it would be very useful. That is the first one. And I will ask the other questions later, sir.

Anuj Mathur: Right So, first of all, actually, what we have seen in our expense ratio is improvement of 1.5%.

So, it was 20.5% last year. It has improved to 19% as of now. As far as agency is concerned, I mentioned that earlier also that we will go for phased.... First of all, apologies for this problem, for the disconnection. And I don't know till what stage people were able to hear us.

Moderator: Mr. Swarnabh sir, may we request you repeat your question once again so that we can continue?

Canara HSBC Life Insurance Limited

October 27, 2025

Page 7 of 15

Swarnabh Mukherjee: Sir. I think you were responding to the question on agency setup and the cost implications of that.

Anuj Mathur: Right. So, as I had mentioned that agency we are ramping up in a phased manner. And that will actually help us to kind of maintain our margins. And maybe I will request Tarun, our CFO to give exact numbers.

Tarun Rustagi: So, as we are ramping up agency this year in a phased manner, so we don't expect any impact, significant impact on the various parameters. One is the cost. Second one is, your VNB margin and other financial parameters. And therefore, and in the first, generally what we have seen also, the agency is expected to sell most of the (Inaudible) 17.28, so that will also maintain the margin. And as

we will generate more and more cushion from the profitability over next month, few months, we will start ramping up the agency accordingly. So, we don't expect significant impact coming from agency channel.

Anuj Mathur: In fact, just to add, I think the agency model also over a period of time has got evolved. And of late, we are also seeing that the distributor payouts are also kind of forgetting kind of rationalized to some extent. So, I think this new environment will help us to kind of continue with agency business. But as I mentioned, in a phased manner.

Swarnabh Mukherjee: Understood, sir. And in terms of, sir, basically mitigating the impact of GST on our margins. So, just wanted to understand what all steps we are taking and if there is any negotiation going on with our distributors. What stages are we? If you could, basically highlight the levers. that you have at hand, which gives you confidence that you will be able to mitigate most of the impact?

Tarun Rustagi: That's a really good question. And so, there are three things which we are doing with respect to minimizing the impact. The first one is rationalizing rationalization of our operating expenses. We have been doing this and that's why we are able to maintain our cost ratios at such a low

percentage. So, we have identified various levers and areas where we can further rationalize the cost, which is operating costs. So, this has already been actioned and we are confident that we will be able to complete those actions. The second part is, basically, the product mix shift.

Basically, as Anuj mentioned, the group credit life is already doing very well. So, that is helping us in terms of increasing the margin. And therefore, some of these product mix shift is helping us to improve the margin and taking care of some of the impact of GST. And the third parameter is, basically, is the commission rationalization. Now, the commission rationalization is depending upon the various distribution types we are having. And we are assessing each and every one as per the kind of scale and the kind of commission rate which we pay. So, in terms of these actions, we have already discussed and negotiated. I will not use negotiated, but we have already agreed to the agreement with most of the distributors. that the impact will be neutralized on the commission side.

Anuj Mathur: And I would just like to add that in our case, particularly with our bank partners, our commission rates were already lower than the industry. So, we do not want to further cut in terms of the new

Canara HSBC Life Insurance Limited

October 27, 2025

Page 8 of 15

business. But in terms of renewable business, we are assessing if there is a need for adjustment.

But because our costs are low, including commission rates, which are low, the impact is going to be much lesser compared to the competition.

Swarnabh Mukherjee: Right, understood. So, would it be fair to assume that as we move to the second half of the year, we will not see any major impact of this coming through? Or if you could quantify, if you assess that some impact might come through in Q3 and then normalize?

Tarun Rustagi: So, like we mentioned that we are targeting to maintain the VNB margin at the current level after taking the impact in this second half. Second half is going to be in terms of the business volume also is going to be higher than the first month, only the month impact, which you have seen. But we will, we are confident that we will be able to maintain this level of margin and show the growth over the previous year. And next year onward, which is FY'26-'27, the impact will be almost minimized. And there are many, many steps which we have already initiated. Some of them have already been actioned and agreed, like I mentioned. So, it will continue to help us in terms of maintaining the healthy margin.

Swarnabh Mukherjee: Sure, sir. Very helpful. Just a couple of quick data keeping kind

of questions. One is on your

protection mix. So, if you could split that up between individual products and credit life. I think right now it is showing 8% on the basis of APE. So, what would be the mix between individual and group in that? That is the first one. And secondly, if I look at your persistency disclosure, I mean, on a half year to half year basis, there is an improvement. But if I look at the numbers. basis say 3 months ended June and 3 months ended September, there seems to be a drop in the numbers. So, I just wanted to understand how to read this?

Tarun Rustagi: So, out of 8%, the protection, majority of the businesses, the contribution is done by the group credit life, which is also very profitable. And individual protection business is now picking up because we have, like we mentioned, there is the demand which is coming up now. For basically asking for more and more protection business, there is a direct 18% saving, which is happening there. So, as of now, this is mainly coming from almost 75% is coming from group protection, which is group credit life.

Swarnabh Mukherjee: Got it, sir. And on the persistency query?

Tarun Rustagi: Q2 versus Q1. So, overall, H1, there is a decent increase in 13-month persistency, but quarter and quarter, there is, I think, some decrease, which they are talking about. So, just let us come back on this particular point.

Anuj Mathur: We will revert, but just one thing I would like to mention that this change which happened in GST, many customers. actually decided to kind of, the clarification also came, that there was deferment of premium payment by customers. So, if you are taking, if you look at very, very short term, quarter-on-quarter, partly it could be on account of this clarity which came around GST for existing customers, which came actually on the last day of the quarter.

Canara HSBC Life Insurance Limited
October 27, 2025

Page 9 of 15

Swarnabh Mukherjee: Okay, sir. Understood, sir. Thank you so much, sir. Thank you and all the best.

Tarun Rustagi: Thank you.

Moderator: Thank you. Our next question comes from the line of Nidhesh from Investec. Please go ahead.

Nidhesh: Thanks for the opportunity. The first question is on product mix. The share of annuity is pretty high for us versus our listed peers. So, what is driving it? And if you can share some details about the product structure within annuity, how much is regular pay annuity and how much is single premium annuity and which specific channel is driving that, because that is a quite commendable share of annuity that you have achieved.

Anuj Mathur: Right. So, I am requesting our appointed actua lly, Nitin, to kind of provide these details.

Nitin Agarwal: Right. So, on the annuity side, so we have seen a potential of annuity in terms of the market and there is good margin. So, I think annuity again, from a VNB margin perspective, it provides margin similar to our non-PAR savings business, which is the reason we have increased focus on annuity. And in terms of the split, most of our, about 80% to 90% of the annuity portfolio comes from actually the regular pay before the annuity.

Tarun Rustagi: Just adding, there is a clear segmentation which we have and that's why you see an increase in the annuity business both in Canara, in terms of customer segmentation, and that's the work of outcome or a result of our deeper analytics, along with these distributors, that we are able to identify the need of customers. who are actually looking for annuity products, both in Canara and HSBC. Especially in HSBC, you can see that there is a clear segment, customer segment, which is looking for it. And therefore, you see that this annuity proportion is actually improving over a period of time. And as Nitin mentioned, mostly it is defe rred annuity, which is profitable for us.

Anuj Mathur: And just to add, my long-term view is that this particular segment, which is retirement, solution

s, pension products, I think that we are seeing increased demand coming in. That is because of the longevity of customers. and all that. And we s ee this as a segment where I think there's good revenue opportunity, which is there, and we are going to capitalize on it.

Nidhesh: Sure. So, on annuity, what is the average deferment period and how are we hedging it?

Nitin Agarwal: So, the average deferment period on annuity is about 4 to 5 years. That is the maximum one which we sell, while it goes up to up to 10 to 11 years. as well. The maximum proportion that we are selling is up to 4 to 5 years. An d what is the second question, sorry?

Nidhesh: How we are hedging.

Canara HSBC Life Insurance Limited
October 27, 2025

Page 10 of 15

Nitin Agarwal: So, we are also investing in derivatives for our annuity book as well. So, we are hedging, as we sell, we are hedging most of this book through forward rates--

Nidhesh: Sure. Secondly, on distribution mix, if you can share data on the distribution mix for H1, how much is Canara Bank, how much is HSBC, and how much is other channels on an overall APE basis?

Anuj Mathur: Right. So, I think this we covered in our RHP also. So, broadly, 70% of the business comes from Canara. And another 14% to 15% comes from HSBC. And remaining is alternate channels. And as we grow agency, we expect that in percentage terms, the contribution from the banks may come down and overall alternate channels will grow. But that's a broad composition. It may vary month-to-month, quarter-to-quarter, but broadly this is how the current mix is, channel mix.

Nidhesh: Sure. And lastly, around VNB margin, are you guiding for around 20% VNB margin for the full year? Is that the guidance, despite GST impact?

Anuj Mathur: Inching towards that, we can say that.

Nidhesh: Okay. Thank you, sir. That's it from my side.

Moderator: Thank you. Our next question comes from the line of Vinod Rajamani from Nirmal Bang. Please go ahead.

Vinod Rajamani: Thank you for taking my question. Just wanted some more details on this agency rollout. If you can provide some kind of color on that? That would be question number one. Question number two would be on how many riders, what is the attachment ratio in terms of the policies that you have and the riders that are attached? How many policies currently have a rider attached and what is the aspiration in terms of the rider attachment ratio? These are two questions that I have.

Anuj Mathur: So, I will go first on the agency. So, as I mentioned, we are going to ramp up in a phased manner.

And we are going to use our current infrastructure. We have 104 branches which are there throughout India. So, we are increasing our agency presence in these locations first. And there's a ramp-up plan as part of our long-term strategy which has been agreed by the board and we will be gradually increasing. But at the same time, I would like to mention that we would not like to see any VNB compression on account of agency. So, the agency ramp-up will be gradual and diversification over a period of time. We are in no rush actually to scale up agency to levels which can impact our margins. So, I hope that answers the question.

Vinod Rajamani: Yes, sir. That is very clear.

Nitin Agarwal: On the rider attachment, so I just want to highlight that, we have only introduced rider last year. So, it's been steadily picking up. And in the recent business that we are selling this year, it's about 65% to 70% already and we are only looking to increase this further.

Canara HSBC Life Insurance Limited

October 27, 2025

Page 11 of 15

Vinod Rajamani: Okay. Noted. Thanks so much. All the best.

Nitin Agarwal: Thank you.

Moderator: Thank you. Our next question comes from the line of Sucrit D. Patil from Eyesight Fintrade Pvt. Ltd. Please go ahead.

Sucrit D. Patil: Good evening to the team and congratulations on a successful quarter. I have a specific question

for Mr. Anuj, a forward-looking question. You have briefly explained about the margins and all the books and everything. Just my question is, as customer expectations shift and digital adoption deepens, what long-term changes do you foresee in how Canara HSBC Life Insurance builds trust and relevance across different customer segments?

Anuj Mathur: Yes. Thank you. So, very good question. And I am glad you asked about the long-term strategy also as to how we are going to grow the business. So, as I mentioned earlier, also see the space we are in, wherein we have very good Bancassurance presence, our penetration in current customer base, which we have, the captive customers we have, is less than 2%. So, our focus will continue to be on the Bancassurance business, along with ramping up the agency. We are fully committed to agency business, and you will see ramp-up happening over a period of time. But Banca will continue to kind of lead in terms of growth. As I mentioned, less than 2% penetration. What we are also seeing, and you touched upon the digitalization, which is a very important aspect, we are seeing that demand is coming from Tier-3, tier 4 cities also. So, we are fully equipped. And just to mention a few numbers, because as a Company, we have always invested in technology, and we have achieved a very high level of digitization. Roughly 99% of our business, we acquired digitally. When I say we acquired digitally, even with banks, we have got digital assets to which the customer is onboarded, making sure that onboarding can happen very, very smoothly, and location is not a constraint. So, I think that's something very positive about us, that 99% of our business is digitally onboarded. Number two, on servicing also, roughly 85% of customer service requests are on DIY journeys. So, that way, we have achieved a very high level of digitization and these channels will grow. They are underpenetrated right now. We are also focusing in terms of growing our digital business. So, that's also on the cards.

We are already having decent, I will say, reasonable kind of business, which is coming from digital only also. But yes, overall digitalization, we have a clear strategy to use that to our advantage, both for banca business, agency business, as well as alternate channels. And overall,

we continue to outgrow the industry performance. If you see our growth rate in the past has been much superior compared to the industry. You take any time frame, 3 years, 5 years, 10 years, we have always overachieved the industry growth. And we are very confident that in years to come also, because of our superior business model, which we have and a strong support, we will continue to deliver good numbers.

Sucrit D. Patil: Thank you. My final question is to Mr. Rustagi. Looking ahead, what kind of internal levers or any strategic choices do you see as most important for balancing growth with disciplined risk and say capital efficiency?

Canara HSBC Life Insurance Limited
October 27, 2025

Page 12 of 15

Tarun Rustagi: So, one is the product mix play a very important role in terms of the capital requirement and also risk. And if you actually see, we have been able to manage the balanced product mix. Obviously, we are trying to shift the product mix and expect that product mix will move as per the customer demand towards more traditional business. And for that, we have a very robust hedging strategy, which is able to help us in terms of protecting the interest rate risk. Apart from that, the cost management is another lever, which we are constantly working and able to rationalize or maintain our cost ratios. Not only operating expenses, but also basis the arrangement or agreement, which we are having with our distribution partners, we are able to maintain the cost ratios very well. Also, another thing which you can clearly see in terms of outcome is our persistency, which is basically a right sale, not

need-based sale. And need-based sale is resulting into higher persistent customer and a satisfied customer, which is helping us to improve the persistency renewal book, which is further helping us improving the VNB margin and embedded value. So, these three things are very, very critical. And keeping in mind, keeping all these three, we will continue to outperform industry basis the distribution model, which we are having, the reach which we are having. So, all these things are helping us in terms of outperforming industry on all the financial parameters, including topline. And cost efficiency is a USP. We are at a competitive edge there with our cost ratios, both OpEx as well as commission ratio being very, very reasonable.

Sucrit D. Patil: I think that is a very detailed guidance on your part. And I wish the entire team best of luck for the Q3.

Tarun Rustagi: Thank you.

Moderator: Thank you. Our next question comes from the line of Mr. Prayesh Jain. Please go ahead.

Prayesh Jain: I am just looking at the interest rate sensitivity. What we disclosed in the RHP and the presentation that we have disclosed, the sensitivities have gone down. And so what's kind of driven that? And do we see further improvement there? Or how should we think about this? That would be my first question.

Nitin Agarwal: Hi. Thanks, Prayesh, for this question. So, we have been constantly working on this. So, I think two of the main reasons how we managed to get our interest rates sensitivity down is, obviously, to increase hedging. We have been constantly increasing our hedging, not in more new business, more new business we write on tradition, as well as the annuity. We have been hedging that business. And secondly, we have also been constantly working on the duration of our assets. So, increasing the duration of our assets. So, these are the two reasons how we managed to reduce and we have been seeing this constant. And yes, we should expect to see further reduction in this in the coming months.

Prayesh Jain: What percentage of our non-PAR book will be hedged?

Nitin Agarwal: About 70%.

Canara HSBC Life Insurance Limited
October 27, 2025

Page 13 of 15

Prayesh Jain: And do you expect this to go to about 85%, 90%?

Nitin Agarwal: Yes. That is the intention.

Prayesh Jain: Got that.

Nitin Agarwal: To go upwards of 20% of that. And also, just to add, we also have agile repricing framework. So, we are also looking to keep repricing as per the interest rate movements to ensure that the VNB margins are maintained. So, they are not adversely impacted by the interest rate movements.

Prayesh Jain: Got that. Second question is on the efficiency in the Canara bank channel. What are the medium term plans to kind of increase the efficiency there in order to kind of drive more growth there?

Tarun Rustagi: So, in terms of efficiency, what I am understanding is you're talking about the productivity, right? In the Canara channel.

Prayesh Jain: Yes, productivity.

Tarun Rustagi: Can I request Soly Thomas, our CDO, to just provide a response?

Soly Thomas: So, if we look at, we have almost 6,000 touch points in Tier-2 and Tier-3 and that's one of the strategies which is in leveraging our distribution expansion. And currently, we are having just

less than 2% penetration. So, we will keep on focusing on these Tier-2 and Tier-3 cities where we have more than 6,000 touch points, to increase our productivity.

Tarun Rustagi: Yes, this is in addition to the tech usage. Like you all are covering the bank which you're talking about. And the kind of enhancement and advancement they're doing on the technology side, which is analytics plus also the segmentation is another thing. They are also working very hard and very positively and very effectively on the digitization of their, one is process and also the touch point from the customer like app is there, website is there. So, all these things are going to help us in terms of reaching to the last customer, each and every customer of the Canara Bank, which is going to help us in terms of improving the productivity and in each of the branches and also enhance the sales in this channel.

Prayesh Jain: I got that. The other question was on the commission discussion that you are having. You mentioned that you are looking to cut commissions. So, is it also in the discussions are on with both Canara and HSBC as partners. or is just about the remaining 15% is where you would look to cut down commissions?

Tarun Rustagi: I think we covered that in case of Canara and HSBC we are already having a very reasonable first year commission rate. What we are discussing is mainly on the renewal, which is having a basically a longer impact in terms of the other financial parameters. That discussion is going in Canara HSBC Life Insurance Limited
October 27, 2025

Page 14 of 15

a positive direction for balance 15% is definitely on both front. That discussion is also going in a positive direction.

Prayesh Jain: Got that. Yes, that's all from my side. Thanks.

Moderator: Thank you. Our next question comes from the line of Harshal Mehta from AMSEC. Please go ahead.

Harshal Mehta: Thank you for the opportunity and congratulations for listening. Just have two questions. First in terms of agency channels, so like given that we are now expecting a phased reimburse of the channel. If I can give some current out of numbers, like what type of number of agents, agency APE, their productivity, and how we see agency APE chair moving over the next few years. And the new initiatives that we are taking in the channel, so that will be helpful. And secondly, in terms of our product-wise lapse and surrender rates, what we assume, so how to read those in line with the persistency for each products? And if you can give some comfort on assumed lapse or surrender rates, that will be my second question.

Anuj Mathur: So, I will answer your first question, which is on the agency. And then I will request our appointed actually to talk about the lapse and surrender rate. So, see, in terms of agency, as I mentioned, we are going to ramp up in a phased manner. I will not like to give any forward-looking kind of in terms of numbers. I will not like to give any statement, but yes, over a period of time, you'll see the growth there. And in agency also, see, at times there are benefits of starting late. So, now when we are starting agency, we are also evaluating various models within agency, which will help us in terms of cost optimization and also generating more business with maybe not very high number of agents. So, that's what we are looking at, that we will look for hybrid kind of model, different models which are existing, which is variable agency model, tied agency model. And we will try to achieve a balanced mix between the two and we are going to grow this channel over a period of time. I will not like to make any statement in terms of number of agents and all that. But as long as we are protecting the VNB margin and kind of diversifying, I think you guys should be all okay.

Harshal Mehta: Sure.

Nitin Agarwal: On the lapse and surrender rates, so as you are aware that, the lapse and surrender rates vary by product. So, there's not one product, depending on the channel, depending on the features, it does vary. So, there's not one single rate which will apply to all products. But yes, we are seeing it, we are seeing continuous improvement in our lapse and surrender rates. And typically persistency on the unit-linked side is slightly better, which is even better from the overall profitability perspective. But we are seeing an improvement, we are seeing further improvement both on unit linked as well as the traditional business side on lapse and surrender rates.

Harshal Mehta: Thank you, sir. And all the best.

Canara HSBC Life Insurance Limited
October 27, 2025

Page 15 of 15

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Nitin Agarwal: Thank you.

Moderator: There are no questions at the moment. As there are no further questions, I now hand the conference over to the management for closing comments.

Anuj Mathur: First of all, thanks a lot to all the participants for joining in for this late evening discussion, but very insightful and very interesting one. And now since we are listed, I am looking forward to this engagement on a regular basis. Every quarter we will be publishing our results and look forward to kind of inputs coming from all of you. And please feel free to ask questions as we move forward in this journey. So, thanks once again. Thanks a lot.

Moderator: Thank you. On behalf of Motilal Oswal, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Jan 2026

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-110001 (India) | T +91 11-49512300 Date: 27th January 2026

To,
National Stock Exchange of India Limited
("NSE")
Listing Department,
Exchange Plaza, C-1 Block G, Bandra Kurla
Complex Bandra [East], Mumbai – 400051 To,
BSE Limited ("BSE")
Listing Department,
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai - 400 001
NSE Scrip Symbol: CANHLIFE BSE Scrip Code: 544583
ISIN: INE01TY01017 ISIN: INE01TY01017

Subject: Disclosure under Regulation 30 read with Schedule III of the Securities and
Exchange Board of India (Listing Obligations and Disclosure Requirements)
Regulations, 2015 - Transcript
Dear Sir/Ma'am,

As per Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure
Requirements) Regulations, 2015, transcript of the discussion on the Unaudited Financial Results of the Company for the
quarter and nine
months ended 31
st December 2025, at the analyst meet held on 21st January 2026 is
available on the website of the Company at i.e. www.canarahsbclife.com .

The analyst meet, conducted through Audio means concluded at 7.30 p.m. (IST) on 21st
January 2026.
This is for your information and records.

For Canara HSBC Life Insurance Company Limited

Vatsala Sameer
Company Secretary and Compliance Officer
Membership No: A14813

Encl.: As above

Page 1 of 19

"Canara HSBC Life Insurance Company Limited Q3 &
9-Month FY-26 Earnings Conference Call"

January 21, 2026

MANAGEMENT : MR. ANUJ MATHUR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER , CANARA HSBC LIFE
INSURANCE COMPANY LIMITED
MR. TARUN RUSTAGI – CHIEF FINANCIAL OFFICER ,
CANARA HSBC LIFE INSURANCE COMPANY LIMITED
MR. NITIN AGARWAL – APPOINTED ACTUARY ,
CANARA HSBC LIFE INSURANCE COMPANY LIMITED
MR. AMIT JAIN – HEAD (INVESTOR RELATIONS),
CANARA HSBC LIFE INSURANCE COMPANY LIMITED
MODERATORS : MR. PRAYESH JAIN – MOTILAL OSWAL FINANCIAL
SERVICES LIMITED

Canara HSBC Life Insurance Company Limited
January 21, 2026

Page 2 of 19

Moderator : Good day , and welcome to Canara HSBC Life Insurance for 9 -monthly FY '26 Results
Conference Call , hosted by Motilal Oswal Financial Services Securities Limited.

As a reminder, all participants' lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing * ' then '0' on your touchtone
phone.

I now hand the conference over to Mr. Prayesh Jain from Motilal Oswal. Thank you , and over
to you, sir.

Prayesh Jain : Thank you, Danish .

Good evening, everyone. It is a privilege to host the Senior Management of Canara HSBC Life
Insurance L imited . From the Management, we have Mr. Anuj Mathur – MD and CEO ; Mr. Tarun
Rustagi – CFO ; Mr. Nitin Aga rwal – Appointed Actuary ; and Mr. Amit Jain – Head, IR.

I now hand over the call to Mr. Anuj Mathur, MD and CEO. Over to you, sir.

Anuj Mathur: Thanks, Prayesh . Good evening to everyone. Anuj here. First of all, thanks a lot for joining in
for this call slightly late in the day. But thank you very much. And our results are now updated
on the website of the Company as well as both the stock exchanges. So, that's already there.
We have also circulated our investor presentation containing key business highlights , and happy
to share further insights during this call.

So, first of all, I woul d like to talk about some of the key developments in the Insurance sector ,
and then I will touch upon the Company performance.

So, if you look at this quarter, when I say this quarter, I am talking of October to December
period. Actually, we have witnessed good reforms with the passage of Sabka Bima Sabki
Suraksha, this amendment of insurance laws, Bill 2045.

The legislation is expected to accelerate India's journey towards universal insurance coverage
by 2047, while unlocking significant opportunities for investors. A key development here is the
increase in FDI limit from 74% to 100%, which is likely to attrac t long term capital into the
business and deeper participation in the sector.

Alongside measures such as enhanced policyholder protection, simplified business processes,
stronger regulatory framework, I think all these factors together provide a very compelling
growth story over a period of time for the Insurance sector.

Canara HSBC Life Insurance Company Limited
January 21, 2026

Page 3 of 19

If I talk about the macroeconomic front, India's GDP growth remains robust, underpinned by
structural reforms implemented over the last few years. Reflecting this momentum, several
institutions, including the Reserve Bank of India, have revised the growth forecast for the
country to 7.3%, which reinforces the confidence which is there in the country's long-term
trajectory.

So, while the global environment continues to be marked by volatility and geopolitical tension,
India's strong fundamentals and reform driven resilience position, I think India is a very
attractive investment destination and within that, insurance is well pois ed for the growth. Some
of the things which we saw towards end of September in terms of GST changes, all that are
resulting into positive tailwinds for the industry.

So, friends, now I would like to discuss about the Company 's business performance for this 9 -
month period which ended on 31st of December 2025. Talking about our overall growth, I am
very happy and delighted to share that as far as our Company is concerned, we have seen our
individual weighted premium income, which we call as WPI, has grown at a healthy pace of

20% year -on-year for the 9 -month period which ended 31st of December.

And if I talk about year -on-year, Q3 of last year versus Q3 of this year, we have seen growth of 29%. And this is led by sustained demand in the Unit Linked

business along with focused

strategy on increasing protection and annuity. And I will cover this aspect in little bit of detail during the conversation.

We continue to outperform both private players, which grew by 13% year -on-year and the industry which grew at 10% year -on-year during this period. So, we have actually outperformed the industry and also the private players during this period.

As I mentioned, the green shoots of GST -led demand are now visible with our retail protection business growing almost 3 times quarter -on-quarter , while Credit Life business continues to see healthy growth of 50% during the quarter. So, this is again a very positive development where we have seen good growth in our Credit Life business as well. We believe there is a structural uptick in this segment and hence expect that demand will continue to rise.

Talking about our annuity business, our annuity AP continued to grow at healthy pace of 34% year-on-year for the 9 -month period. Within annuity, we continue to focus on deferred annuity which offers a more holistic solution to customers and profitable segment. So, this is something which we covered in the past also in terms of retirement as a segment and we are quite bullish on it, and we have seen very good growth in this quarter in our case.

Talking about customer preference, we have seen that customer preference has been towards linked products, which has led to steady growth of 23% year -on-year for the 9 -month period.

Canara HSBC Life Insurance Company Limited

January 21, 2026

Page 4 of 19

Our ULIP products are not only ensuring wealth creation but as we started offering riders along with the ULIP products, also providing policyholders to have enhanced protection cover through various options. So, this rider attachment is also helping us in enhancing our margins on ULIP products and this is something which we have mentioned in the past also that riders , and I am going to talk about the overall protection strategy also in next few minutes is actually helping us in terms of our margins.

Talking about renewable premiums, we have maintained strong momentum , recording a 34% year-on-year growth for the 9 -month s period , and 43% year -on-year for Q3. So, this translates into further improvement in our persistency across all key cohorts. Happy to share our 13 -month persistency has risen to 85.6% from 82.5% in FY '2 5. So, there is a very healthy increase here. Similarly, if I talk about 61st month persistency, it has improved to 59.5% compared to 57.7% in FY '2 5. So, these consistent improvements underscore the strength of our customer retention , the quality of sales, the sales practices and the long -term sustainability of our growth trajectory. Also, I would like to mention that we launched our agency business in October '25 and it is actually building up. We are very happy with the initial success. There is early momentum which is encouraging. As planned, we will scale up the agency branch infrastructure in a phased manner. So, we are on track, and this is something which we launched about 3 months back. Now let me take you through some of the key financial metrics. Our value of new business for 9 months, so this is absolute VNB stood at Rs. 413 crores. It has grown 37% year -on-year. Despite the GST impact, we have been able to increase our new business margin, which stood at 19.7% for the 9-month period which ended on 31st of December, reflecting an almost 200 basis points improvement year -on-year.

So, some of the key factors which have resulted into this healthy margin, I am going to talk about :

1. We have seen good growth in our individual protection business, and this is something where we are seeing benefits coming from GST. So, clearly positive tailwinds coming into play , which is helping us to expand our individual protection business. And we have also seen sustained growth in Credit Life ,

something which I touched upon earlier

also that we have seen good growth in our Credit Life business, which is a profitable segment.

2. Higher rider attachments in the ULIP. So, we have been able to kind of grow our ULIP business , but at the same time, we have been able to attach riders, protection riders with it, which has helped us in terms of our margins. And Company will continue with this strategy going forward also in terms of rider attachments.

3. Higher volumes which aided in higher fixed cost absorption. So, costs are, if I look at the insurance industry as such, majority of costs are fixed in nature. So, if you are able

Canara HSBC Life Insurance Company Limited

January 21, 2026

to scale up the business, you see an impact, positive impact on VNB, and which is what we have seen that because of higher volumes, this has aided in us in a VNB margin optimization.

4. Longer premium payment term under ULIP business. So, that's also we have seen that we are able to sell longer premium payment policies, which helps in margin enhancement.

5. The favorable movement from the yield curve. So, that is something which entire industry has witnessed and that is again a very positive thing.

So, these were the key reasons for VNB optimization.

Now I would like to also touch upon the expenses side in terms of how we have done on our operating expenses. So, we continue to rationalize our expenses, which is leading to a structural improvement in our expense ratio.

Our total expense ratio for 9 months as of 31st of December 2025 has improved to 18.7%. This is an improvement of 130 basis points over the same period last year. So, that's on the cost front that we have been able to improve our cost ratio.

Talking about our embedded value, EV :

Indian embedded value, that has grown by 17% year -on-year, reaching INR 6,868 crores with operating ROEV of 18.2% on rolling 12 -months basis.

Moving on to other financial metrics :

If I talk about profit after tax for 9 months ended on 31st of December, it stood at INR 92 crores, which is an increase of 8% year on year. This is after factoring in the GST impact as well as the impact on account of new labor code.

So, we have seen in this period, we have actually provided for the additional ask, which was there on account of new labor code of about INR 9 crores. So, that has been factored in , and accordingly we have calculated our margins. So, if we exclude our one -off impact from new labor code, our PAT stood at INR 101 crore s, which is an increase of 19% over last year.

Our solvency ratio currently stands at 191% and we have also taken approval from our board to raise subordinate debt of INR 250 crores, which will help us to further boost our solvency.

As I mentioned, our focus is on protection, so for that, whatever is required in terms of raising subordinate debt, improving solvency margin, all of that is being done to support growth in new business and overall channel expansion.

Canara HSBC Life Insurance Company Limited

January 21, 2026

So, just to conclude, we have remained firmly optimistic about the long -term growth prospects of the Indian Life Insurance sector, underpinned by our robust growth trajectory and strengthening financial position. We expect protection to continue its upward trend . While bank assurance remains a key driver of our success, we are strategically investing in alternate distribution channels to ensure sustainable and diversified growth.

So, I am going to stop here, and me and my colleagues, we are all here to take questions. So, over to you.

Operator, we can open the floor for Q&A.

Moderator: Yes. Thank you so much, sir. Ladies and gentlemen, we will now begin with the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

Our first question comes from the line of Sucrit D. Pati

I from Eyesight Fintrade Private Limited.

Please go ahead.

Sucrit D. Patil, you may please proceed ahead with your question. As there is no response from D. Patil, we will move forward to the next participant.

Our next question comes from the line of Swarnabh Mukherjee from B&K Securities . Please go ahead.

Swarnabh Mukherjee: Hi, sir. Thank you for the opportunity , and congrats on a good set of numbers.

Anuj Mathur: Thank you.

Swarnabh Mukherjee: Two-three questions from my side, sir. So, first of all, I think I just wanted to understand the math behind VNB, because I think the roll forward that you have provided this quarter in terms of VNB between last year and between 9 months and 9 months last year. So, there, broadly the impact of labor code and GST is coming to around INR 40 odd crores , right . So, I just wanted to understand, largely this would be pertaining to this.

I think around INR 5-6 odd crores was there last quarter. Apart from that, around INR 35 odd crores would be pertaining to this quarter. So, in that case, if I were to kind of add this back , say INR 35 odd crores to this quarter's VNB number, which is essentially I think close to INR 200 odd crores, then would the core VNB be somewhere around this INR 235 odd crores? Would that be the right number to look at, sir?

Anuj Mathur: So, if you have any further questions, maybe first you can share the questions, and then I will request my colleague, our Appointed Actuary – Nitin to kind of respond to this VNB question.
Canara HSBC Life Insurance Company Limited
January 21, 2026

Page 7 of 19

Swarnabh Mukherjee: Sure, sure. So, that was one question. And in essence, I think that kind of highlights that maybe our core margin is closer to 23 %. Just wanted to understand if my thought process is correct in this.

Second is, in terms of the GST cost impact, so whatever we have accounted for in here, so how do we see this getting mitigated subsequently? And what are you doing to do that, if there are negotiations with distributors? How are we positioned in that process? If you could give some color on that?

Second is, in case of your savings products, so I think I could not find in the presentation a break-up between PAR and non-PAR. So, if you could highlight on that.

And plus, I think the product mix that you have given in 9 months FY '26 ULIP is around 60%. While I think in 1H, what you had reported the ULIP mix was for 1H 50 % odd. So, am I missing something or if you could highlight why this delta is so significant?

And last question would be in terms of persistency. So, this improvement that we are seeing, is this an outcome of a change in product mix or would this be a function of, you are seeing even within product categories also persistency improving?

So, these are my four questions.

Anuj Mathur: So, maybe Nitin, you can first answer the VNB question.

Nitin Agarwal: Yes. Hi, so the math on the VNB is that, so effectively from labor code plus GST on VNB absolute is about an impact of INR 40 crores. And so that is what when you add it back to your current reported margin of 19.7 %, it roughly adds up to about 2%. So, which is what the margin, so this margin of 19.7 % would actually become somewhere around 21.7 %. So, that is how the margin would look like, if you were to add back these 2 impacts.

Swarnabh Mukherjee: Sir, if I may interject once. So, this impact out of that INR 40 crores, INR 35 crores is this quarter, right? Last quarter you had reported around I think INR 5 crores to INR 6 crores in terms of GST impact.

Anuj Mathur: This is YTD impact. This is not a quarter impact, because we are not doing a quarter-on-quarter walk here. This is a total impact, so far till December 2025, what we have recorded. So, this is the overall impact. This is not a quarterly impact.

Swarnabh Mukherjee: Okay, so just to understand this is driving not on

ly for the new business, but also some changes that you might have taken into account of the back book written this year.
Canara HSBC Life Insurance Company Limited
January 21, 2026

Page 8 of 19

Nitin Agarwal: That's right. That is part of the management action where we have taken some management action for the back book. Only the renewal commission would have been impacted. The initial commission would only have been impacted in this particular quarter.

And on the renewal side, we have actually taken management action and able to absorb most of it through discussion with the distributors. So, to that extent, the impact primarily even now and future will come from the initial commission itself.

Tarun Rustagi: And I just want to add on your question. So, 21.7% is the resultant number or adjusted VN B. But GST impact is the next quarter, which is JFM. We are expecting more impact on that, because some of the actions which we have taken will take a full-blown impact or effect will come next year.

So, therefore, and this is a permanent impact. Just trying to make you understand that once this impact is there, it is resetting the baseline. So, this is right now, until unless there is a product change, complete change in the product construct, it is not possible to come back and get this margin back in the product.

So, overall, since you have covered and just mentioned and touched upon the VN B, the annualized impact last time when we shared was 225 basis points, without management action. And what just Nitin mentioned that one of the critical actions which we have done and it is now effective is agreement on absorption of the GST cost on the renewal commission side. So, that has been agreed and it is effective now.

And therefore, we are able to reduce and along with that, some other actions like on the operating expense side, rationalization of expenses, vendor renegotiation. After doing all these things, we expect that this year we could see an impact of 185 basis point vis-a-vis 225, which we mentioned earlier. So, the overall impact will be around 185 basis points on the VN B margin this year, FY '26. So, this is on the VN B side.

And another question you were having is on the GST action we have taken. We have already

covered and mentioned you major impact was benefit which we got was or we are able to counter the GST back through the renewal commission adjustment.

In terms of first-year commission, we mentioned last time also our product commissions are very reasonable with the distributors. So, we are not expecting any change in that. There will be some more impact which will be positive that will be coming from mainly on the expense rationalization rather than on the commission side.

You also asked about the saving product and the participating product mix. So, saving product mix is around 13% and participating is around 5% for this 9-month period. And in terms of persistency, we have seen the improvement in all LOBs not only one change in the product mix.

Canara HSBC Life Insurance Company Limited

January 21, 2026

Page 9 of 19

So, all the cohorts, all the line of business, which is participating, non-participating, unit link ed we have seen improvement in persistency and that has resulted into the overall performance in all cohorts , improvement in all cohorts.

Anuj Mathur: And it is actually efforts which have been pla ced by this team in terms of persistency improvement which is showing in the numbers. So, it's part of our Company strategy which is helping us in terms of higher persistency outcome.

I hope we have answered all the questions or anything else you want to know?

Swarnabh Mukherjee: No, I think sir, broadly addressed and very clearly addressed , sir. Thank you so much. All the best.

Anuj Mathur: Next question please.

Moderator: Thank you. Our next question comes from the line of Nischint Chawathe from Kotak

Institutional Equities . Please go ahead.

Nischint Chawathe: Thanks for taking my question. Actually , just taking forward from the previous participant , one of the questions that was asked was the AP E mix. So, first half was around 50% of ULIP , and I think 9 months we have put in around 60%. So, I think the question was, is that the right reading ?

And was ULIP significantly stronger in this quarter?

Anuj Mathur: Yes, so as I mentioned, we saw good demand coming in for ULIP , and we saw that in terms of the volume surge which we had in this quarter.

But if you see our past also in terms of our mix, we actually within last year also we saw that in JFM period, January, February , and March , we had good traditional mix , which resulted in overall for the year number being at that number. So, this time again , following the same strategy, we expect our trad mix to improve from now onwards till 31st of March.

We are launching new products also during this period , which will help us to improve our trad mix. So, we expect that by the end of the year, the UL mix should come down to about 55% and traditional should move up to 45%. So, that is what we feel in terms of our product mix.

Nischint Chawathe: Okay, got it. And I think again on the margins front, mathematically if I try to calculate the impact of GST, for this quarter I know you called out a number of 2.25 % , and I think now we are saying that we will probably end the year with 1.8 % . But if I try to mathematically calculate the ratio for this quarter, it works out to around 2.8 % . So, is it just a product mix change that is causing an impact or am I reading the numbers rightly?

I mean what I am simply doing is, I am looking at the GST impact of 9 months minus 1st half which works out to be the GST impact for 3rd Quarter , divided by the AP of 3rd Quarter .

Canara HSBC Life Insurance Company Limited

January 21, 2026

Page 10 of 19

Anuj Mathur: I think you probably, what you will need to do is because for the 3 months, the business volume that we have seen, that has also resulted in higher GST impact , because it is linked to the eventually commission and acquisition OPEX . So, that is where the number that you are seeing is looking at that.

But if you do the math, the math will be done on a F YTD basis. So, on an F YTD basis, whatever the impact that we have seen in this quarter will actually have to be divided by the premium AP E that you have written for the full year. So, it is not just the numerator, it is the denominator changes.

So, I think probably what you are doing might not result, you can't just mathematically calculate that way I think. So, you know the half year number last year that was reported was based on a different basis , was based on a different AP E calculation. Whereas this year obviously because the entire impact for this quarter has come in for the business that has been written this quarter , and because the volume itself that has been written as higher.

So, this is why the number that you are calculating is higher. But effectively for the full year, we do expect the number to be in the range of about 185 basis points after allowing for all the management actions that we are intending to do.

Nischint Chawathe: Sure. Sorry for this two-end flow but any specific reason why ULIP is so strong in the third quarter for you every year? I mean is it like you follow MDRT or you know any of that because of which ULIP is so strong for this quarter?

Tarun Rustagi: I think it was mainly coming from one is the market is performing and reasonably well performed. We saw that the demand for Unit Link continues and like we are maintaining that we are focusing on managing the balance product mix, not focusing on or pushing any particular product.

So, Unit Link demand continues in this particular quarter, similar to last year, and therefore the increase in AP on the Unit Link side is

observed. But just to take care of the margin side and just to ensure that this particular increase in Unit Link demand is not impacting our margins, a couple of actions which Anuj mentioned has actually helped us and that will continue.

So, if you actually see the Protection business also has gone up this quarter. So, this quarter has seen improvement in the Protection business on Individual side, and Group. Along with that the rider attachment is almost touching 90%, as in 90% of the policies we are able to attach the riders.

And if you recall, in the last call we mentioned that right now we are only attaching one rider.

So, as we are launching more riders, more variants also, we are expecting that the attachment of the riders will improve in terms of number of riders and profitability. And what we also need to see is this is also giving one more advantage to the policyholder also, that they can take a higher Canara HSBC Life Insurance Company Limited

January 21, 2026

Page 11 of 19

coverage by paying a small amount of premium. And it is a win-win situation for both policyholder and for also the Company in terms of improving the margin.

Anuj Mathur: And just to add to what Tarun just mentioned, you see I think our cost base is also very important.

So, if you are able to manage your cost well, if your expense ratios are low, which you have seen in case of another insurance Company that if you are managing your business very, very efficiently, you can generate higher margins even if your ULIP component is higher.

So, I think we should not take it that ULIP is a bad sale. I think as long as Company can manage the margin, can meet the customer outcome, I think it is a good option to have. So, we believe that because of our cost signature, because of other efficiencies we have in our business, this is actually a good business along with focus on protection as Tarun mentioned riders, retail protection is actually helping us to grow our market share also and at the same time take care of the margin.

Nischint Chawathe: And just one again if you could give some flavor in terms of the momentum that we have seen in protection, how do you see that going ahead? Do you see this kind of moderates a bit? Do you see it fizzles out? What is the thought process for the fourth quarter? Will protection continue to show similar growth or how should one really think about it? The ratio of protection has gone up from 4% to 7%, so.

Anuj Mathur: Q3 versus Q2, obviously the base was lower, so we will see that momentum is continuing. And we are targeting similar kind of sale. Just to give direction but we are targeting to touch overall double-digit number in terms of overall protection, which includes group also.

So, over a period of time we are expecting that our Protection business will be double digit contribution in the overall sales, and that will be contributed equally from the Individual protection and the Group side of protection. So, it will help us in terms of enhancing the margin further on this area.

Nischint Chawathe: And if I can ask how does the current 7% break between Group and Individual?

Anuj Mathur: It is almost 50%-50%. Almost 4% there, which used to be significantly tilted towards group earlier. But this year, we have seen a momentum on individual protection along with significant growth on the group protection. So, therefore, absolute amount if you see in terms of percentage, if you see it's still 7%. But absolute amount is almost 3x of what we sold in last quarter. So, that absolute amount is helping us in terms of enhancing the margin.

Nischint Chawathe: Got it. And just finally, last one is on the hedging side, any change in the hedge coverage or any update versus the last quarter?

Nitin Agarwal: So, we have, as last time also we mentioned, so we are consciously working on the hedge ratio and we have increased

the hedge ratio further from last time. And that is also helping us in our

Canara HSBC Life Insurance Company Limited

January 21, 2026

Page 12 of 19

sensitivities, the interest rate sensitivity that we have been showing. So, that is moving in the right direction.

Participant: Sure. Thank you very much and all the best.

Nitin Agarwal: Thank you.

Moderator: Thank you. Our next question comes from the line of Sanket h Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Thank you for the opportunity. Maybe it's kind of a similar question. There is kind of a seasonality in third quarter when it comes to growth because 1H growth was like 11% and 9-months is 22%, which means third quarter is 37%. I think it was a similar trend in 3Q last year. So, just wanted to understand why there is kind of a seasonality to third quarter, any specific reason. And it is kind of a thing which will continue forever, given the business is designed or distribution channels are designed in that way. If you can give a bit of color there, it will be useful.

Anuj Mathur: Sanket h, Anuj here. So, this is part of sales strategy that every quarter, every month, you will try to do something differently. So, actually we have been doing this that in certain periods, we actually focus in a particular segment, which is what has happened in Q3 that we came up with NFO and that actually helped us in terms of getting more business. So, that is there for the current period. For the next year, again, we create our seasonality. This is what we think is appropriate as for the market and as for the customer needs. So, yes, and we try to kind of spread it much more kind of, I will say, over the quarters rather than in a particular quarter. But as I mentioned, it's part of sales strategy that you decide, okay, in certain period, you will try to focus more on topline and then subsequently you like to focus more on the margins and traditional mix. So, this was part of the sales strategy. Every year, we will change our sales strategy as per market needs.

Sanketh Godha: Okay, understood. And the second question, again, probably on the GST thing. So, the way I understood is that for the 8 or 9 days of the business in second quarter, the annualized impact was 225 basis points. And in the third quarter, which for 9 months looks like 160 basis point, that number is, means if I want to analyze only 3Q impact on the margin due to GST, it means if you can quantify that number, whether 160 will translate into what kind of a number and which you alluded that for the full year, it might be stopping at 185 compared to 225 you started at 9 days of 2Q business?

Anuj Mathur: No, actually, 225 was not for the 9 days business. Nine days business or September till September, the impact was 30 basis point because of GST.

Sanketh Godha: No, annualized, I said, annualized that 9 days business. If you continue to do in that way, it would have been 225.

Canara HSBC Life Insurance Company Limited
January 21, 2026

Page 13 of 19

Anuj Mathur: Yes. And it was not the linear annualization because there was some product mix, seasonization and also our renewal book and some of the action we had taken. So, we did not consider that. So, that's why it was not straightforward annualization of that. And so, that number when we calculated without management action, because that point in time, we were in the discussion with distributors and also with vendors and also working on how to rationalize cost. It was expected to impact our VNB margin for '26 by 225 basis point. But after doing the action and rationalization of expenses, operating expenses, renegotiation of some of the contracts with the vendors and also important thing which we are able to do is work on the renewal commission side, which has a longish impact because it is going to have a positive impact on the embedded value also. So, we are able

to reduce this 225-basis annual impact to 185. So, we expect that by year end, we will have this impact. And obviously, there are some few more actions which are work-in-progress. So, we have not counted that. There is a possibility that it might be plus minus 5% here and there, 5 basis point or 10 basis points here and there. But this is what our current calculation says that, when we start a new year, which is FY '27, this impact would have been taken care. And then obviously, there will be a fresh start.

Sanketh Godha: Understood. So, unlike a few peers, which reported impact of GST only for the incremental business and the renewal impact for the business which was done from 1st April to September was directly adjusted in the EV, we did not do it in that way, right? We routed entirely through the VNB of the current year. That's a clear understanding?

Anuj Mathur: We did that. In the EV walk, if you saw, there was an impact of around 20 crore, which was mentioned. And that was actually taken care of for the in-force book till 30th September. So, we took that impact. And that impact is expected to maybe, 5 to 10 basis point additional impact can come because there is some renewal book with some of the distributors, which might be having some GST impact continuing. But we are not expecting that to go significantly. So, that impact had already been taken.

Sanketh Godha: So, sorry again. So, my understanding, I mean, the way you explained, it seems that that 160-basis point impact in the full year margin is only for the business done from last week of September to last week of December. That's the way I need to understand, right?

Anuj Mathur: Yes, absolutely.

Sanketh Godha: And that impact, which is 160 for the full year, it should stop at 185 ?

Anuj Mathur: Yes.

Sanketh Godha: Okay. Understood. And the next question I had was that, sorry, just to clarify on protection, when you said 4 %, you mean to say out of the 7 %, 4% is individual or group?

Anuj Mathur: So, 3.5 and 3.5 kind of a 50 -50 mix is there between individual and group.

Canara HSBC Life Insurance Company Limited

January 21, 2026

Page 14 of 19

Sanketh Godha: Okay. And in credit life, just want to understand that it is predominantly sitting in Canara. And what is our attachment rates for the disbursements done in Canara Bank or HSBC Bank in that sense?

Anuj Mathur: So, yes, major is Canara. And we have seen our attachment rates actually going up, hovering in the range of about 45 %-50% is what we have witnessed so far.

Sanketh Godha: Okay. And lastly, to Nitin, see, if hypothetically assume, if you fully hedge your book, say at some point in time, then given the hedging cost will naturally have impact on the margins. So, just wanted to understand, hypothetically assume by end of the year, if your intention is to fully hedge the book, what likely impact will it have on the margin?

Nitin Agarwal: Actually, the impact is quite immaterial. So, from the hedging cost perspective, we have seen that the cost, its impact is quite immaterial. And as I mentioned earlier, also that the hedging has also helped our interest rate sensitivity. And now we are heading towards, getting closer to zero.

Sanketh Godha: Okay, fine. I understood that point. And lastly, on Banca, can you do the mix, I mean, 93% of the total WPI you mentioned is Banca. Can you break down that 93% or 100% of the Banca into Canara, HSBC and other banks?

Tarun Rustagi: Yes. So, Canara is almost contributing 75% and HSBC another 12%. The RRB shares have gone down because of various structural changes happening in that particular channel. So, that is around 5%. So, that gives you a total Banca of 92 %-93%.

Sanketh Godha: Understood. That's it from my side. Thanks for your answers.

Moderator: Thank you. Our next question comes from the line of Vinod from Nirmal Bang. Please go ahead.

Vinod: Thank

you for taking my questions. Most of the questions I had were answered. I just wanted to know on this channel mix, what proportion of your business, which is coming from Canara Bank is, say, non -Tier-1, as in, say, Tier-2, Tier-3 and so on? This is specifically for business from Canara Bank. On HSBC, I assume most of it will be from Tier-1 cities. Is that understanding fair?

Anuj Mathur: HSBC operates primarily in Tier-1 cities. Canara, just give us a few minutes. We will just tell you the exact number in terms of how much business has come from Tier-1 and how much business has come from Tier-2 and Tier-3. We will provide that information offline also.

Moderator: Thank you. Our next question comes from the line of Sucrit D Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sucrit D. Patil: Good evening to the team. I have two questions. My first question is, with premium collections growing strongly and total income nearly double, what specific initiatives are being taken to

Canara HSBC Life Insurance Company Limited

January 21, 2026

Page 15 of 19

sustain this momentum? Over the next 12 months to 18 months, how do you see Canara HSBC Life strengthening its distribution network and digital channels to capture a larger share of India's life insurance market? That's my first question. I will have my second question after this. Thank you.

Anuj Mathur: Okay. So, you see, persistency is an outcome of sales quality. And there's a lot of focus in our company on sales quality. So, persistency, honestly speaking, is a lag indicator of sales quality. And specifically, we have made extra efforts to kind of reach out to the customers, provide them additional options to pay premium, regular follow up with the customers, and also an outcome of good performance on the fund performance side. So, all these things have helped us to kind of improve our persistency. And I think some of these things are sustainable over a period of time. But yes, after touching the current persistency, which you have seen, which I have talked about, of close to about 86% on 13 months basis. So, I think there will be improvement. But yes, over a period of time, it will be more kind of gradual. So, we have moved from 83.4% previous year to 85.6%. But we are conscious of sales quality. And we feel that persistency should improve from here. But the percentage increase could be lower. So, that's on the persistency front. Anything else you want to know on persistency front? Otherwise, we will come to the digital part of it.

Sucrit D. Patil: No, you can proceed.

Anuj Mathur: Okay, fine. So, and in fact, if you look at our persistency across cohorts, it has improved. So, it is an outcome of efforts being made, and customers being happy with the product outcome and

all that. Now, talking about, I think your question was, if I have understood correctly, is that how we are going to grow business using digital means, right? Am I correct?

Sucrit D. Patil: Correct.

Anuj Mathur: So, actually, for us, this is something which we clearly see as an opportunity, big opportunity to optimize the business. And in fact, in our IPO roadshows also, and also separately in the last investor call also, I remember we had mentioned about what we are doing using the bank's digital assets. So, we see a big opportunity there. Because Canara Bank is actually focusing a lot on digital assets. And we clearly see an opportunity in terms of reaching out to the customers who are otherwise not coming to the branches. So, internally, there is a clear strategy in terms of how we can use digital assets, how we can use analytics, data analytics to reach out to these customers who are otherwise not visiting the branches. So, we think that over a period of time, this is a big opportunity which is in front of us to leverage on digital assets, both to our website, as well as the digital assets of the bank.

. So, that's how we are going to focus upon. Separately, our digital business, which has policy bazaar, our direct website sale, there also we are seeing good traction. Our products are quite competitive. And we are seeing a good amount of protection business coming through that.

Canara HSBC Life Insurance Company Limited

January 21, 2026

Page 16 of 19

Sucrit D. Patil: Thank you. My second question is with regards to finance. With net profit slightly lower despite strong revenue growth, how are you approaching cost discipline and capital efficiency? Could you outline how the company plans to balance investment in technologies and distribution with maintaining profitability as premium inflows scale further? Thank you.

Anuj Mathur: So, see, insurance and insurance business, as you are aware that the profit, which is a statutory profit, depends on what kind of a product you are selling. And generally, there is a strain, new business strain, which is there. So, as the product mix will shift from one, let's say there is a product which we are able to sell, which is having a lesser strain, you'll see a higher profit emerging during that particular period. And also, as our renewal book is increasing and improving, there is a renewal profits which are coming now in the books. In terms of investment to technology, that we will continue to maintain it. The answer to continue to maintain and continue to focus on technology and other initiatives is to grow the business, generate more profit from that. There are some cost levers which we have pulled, which is helping us, you can call it up, some bit of a discretionary cost also. So, those levers we are able to pull. And therefore, we are able to maintain or reduce the cost. And that will be a long-term cost saving. Then again, the technology, what we invested a couple of years back, if you see our technology investment or spend, has been there for quite a few years. So, those were basically to automate some of the processes. And we have started seeing the benefit of those processes or those automation. That is bringing more efficiencies and better cost numbers for us or operating expense numbers for us. So, these are the few things which we are doing and we think these are the sustainable sales which we are generating. And we will continue to operate and invest in technology and some other initiatives, which might have some impact in a very short-term period. But a medium-to-long term period that is going to benefit us from the efficiency perspective.

Sucrit D. Patil: Thank you for the guidance and I wish the entire team best of luck for the next quarter.

Anuj Mathur: Thank you.

Moderator: Thank you. Our next question comes from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Good evening and congrats on a great set of numbers. Just on HSBC, they were allowed to open new branches. Where have they started opening those new branches? And what are the other layers on HSBC which are not available to us and can start coming to us down the road?

Anuj Mathur: So, they have already launched four new branches. They are operational. In fact, some businesses also started coming from these four new branches, which they have opened in the last month or so. They are also planning to open another 3 to 4 branches in the next 3 to 4 months. So, additional business will come from these places. So, that is in terms of new branches. So, they are on track in terms of launching new branches. So, that's there. Now, in terms of other business opportunities within HSBC, one is on the Gift City, where we have a branch now. We have a product which is there, available, operational. HSBC is just waiting for their distribution.

Canara HSBC Life Insurance Company Limited

January 21, 2026

Page 17 of 19

license to come from IFSCA. And once that starts, that's another revenue stream, which we fee

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in terms of , because HSBC has very good NR base so that is where we feel that that will also

help us. Plus, the bank is also deploying additional relationship managers because in HSBC, it's a pure Banca model, wherein a bank is deploying their relationship managers to source business. So, there is good focus in terms of increasing penetration within the premier segment. And there are other sub -channels within HSBC , when I say sub -channels in terms of, they have this ultra - HNI segment, which is private bank. So, they are also, they are focusing and we expect business to come from that segment. Bank is also quite aggressive now in terms of new customer acquisition through EBS, Employee Banking Solution. So, we see that these are the few avenues through which we will be able to expand our business within HSBC.

Prayesh Jain: Sorry, thanks for the clarification. Just on the VNB margins , so, had this GST impact not been there, we would have been somewhere about 20 %-21% margin. Is that a fair assumption?

Nitin Agarwal: Yes, that's correct.

Prayesh Jain: Right. And now to top on to it we have just started spending on agency, right? Is there any cost related to agency during this quarter because we had launched in October? And has that put in any pressure on margins in this quarter? And how do you expect the expense scale up from here on that channel to kind of put pressure on margins?

Tarun Rustagi : So, for this year perspective, this was very marginal. So, this hasn't really had any major impact on our margins for this quarter.

Prayesh Jain: Yes, but how do we see the scaling up from Q4 onwards and then flowing on into FY '27?

Tarun Rustagi : Yes. So, Prayesh , this agency business, like Anuj mentioned in the opening commentary, that we will be scaling up in a phased manner. And we are very, very carefully going to expand this channel. You are absolutely right. There will be some strain on the margin in the initial period. And that is being taken care of by a couple of things which we are working upon. And some of these things have started giving us results. One is on the increase in the protection business overall, which I mentioned that we are expected to touch double digits. So, that's going to help us further improve the margin, both on the individual side and on the group side. The second thing which is also helping us in terms of improve the margin is on the annuity side, which is also showing a reasonable growth and continue to have because there is a specified segment which we have identified within HSBC and Canara, where this product is suitable. The third thing is with the scaling up of the business and the volume, some of the operating efficiencies and the lever will kick in. And that will also help us in terms of improving the margin. And within Unit Linked versus this current year, next year also the rider's strategy is going to continue. And that is also going to help us in terms of improving the margin. So, these three things along with managing the cost and improving the topline will help us to improve the margin from the current level, which is going to help us in terms of absorbing some of the strain which will come from the agency channel.

Canara HSBC Life Insurance Company Limited

January 21, 2026

Page 18 of 19

Prayesh Jain: The reason I asked that question was the fact that Tarun, when we were discussing these things at that time, we didn't have the GST thing coming in , right? And now there is an additional and you mentioned that it's a rebase of the VNB margin trajectory. So, does that anyway kind of alter your plans for agency channel scale up or the methodology in which you will scale that up?

Nitin Agarwal : Not exactly , because what we were earlier, when we were talking about these things, we were not expecting that individual protection is going to increase and help us in terms of improving it. Overall , protection

business we mentioned, and that was mainly coming from the group trade life. Now, a similar and significant or equal contribution is also contributed by individual protection. And we have a very, very competitive product giving us good margin. And also, there is a good uptick, which we have seen in last three months period. So, that is expected to continue. That will give us a further uplift in the margin, which will help us in terms of absorbing some of the GST cost. So, at this point in time, yes, there is a rebase on the VNB margin. But if you look at from the medium to long term perspective, we are expected to continue on that trajectory, which we discussed earlier.

Prayesh Jain: Got that. That's it from my side. Thank you so much.

Moderator: Thank you. As there no further questions for the participant , I would like to hand the conference over to the management for the closing comments. Thank you and over to you, sir.

Anuj Mathur: Great. So, thank you very much for participation in this call. And if there are any further questions, then Amit from our investor relations is available to answer queries. So, thank you very much once again. Thank you.

Moderator: Thank you, sir. On behalf of Motilal Oswal Financial Service Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Safe harbour: Please note that this transcript has been slightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' et c., and similar expressions or variations of such expressions may constitute 'forward -looking statements'. These statements by the Company and its management are based only on our current beliefs, expectations and assumptions regarding the future of our business, future plans and strategies, projections, anticipated events and trends, the economy and other future conditions and are not guarantees of future performance. Because forward -looking statements relate to the future, they are subject to inherent uncertainties, risks and changes in circumstances that are difficult to predict and many of which are outside of our control, and actual results could differ materially from those presented in the forward -looking statements.

Call: Apr 2026

Page 1 of 18

"Canara HSBC Life Insurance Company Limited
Q4 FY26 Earnings Conference Call"
April 28, 2026

MANAGEMENT : MR. ANUJ MATHUR – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER – CANARA HSBC LIFE
INSURANCE COMPANY LIMITED
MR. TARUN RUSTAGI – CHIEF FINANCIAL OFFICER –
CANARA HSBC LIFE INSURANCE COMPANY LIMITED
MR. NITIN AGARWAL – APPOINTED ACTUARY –
CANARA HSBC LIFE INSURANCE COMPANY LIMITED
MR. RITESH RATHOD – CHIEF STRATEGY AND DATA
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MR. DINESH TAK – CHIEF AGENCY OFFICER –
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MR. AMIT JAIN – HEAD OF INVESTOR RELATIONS –
CANARA HSBC LIFE INSURANCE COMPANY LIMITED

MODERATOR : MR. PRAYESH JAIN – MOTILAL OSWAL

Canara HSBC Life Insurance Company Limited
April 28, 2026

Page 2 of 18

Moderator: Ladies and gentlemen, good day and welcome to the Canara HSBC Life Insurance Company Limited Q4 FY26 Earnings Conference Call, hosted by Motilal Oswal. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prayesh Jain from Motilal Oswal. Thank you, and over to you, sir.

Prayesh Jain: Thank you, Sagar. Good evening, everyone. It is a privilege to host the senior management of Canara HSBC Life Insurance Company Limited for their Q4 FY26 earnings conference call. From the management, we have Mr. Anuj Mathur, MD & CEO; Mr. Tarun Rustagi, the CFO; Mr. Nitin Agarwal, the Appointed Actuary; Mr. Ritesh Rathod, Chief Strategy and Data Officer; and Mr. Amit Jain, the Head of IR. I now hand over the call to Mr. Anuj Mathur, MD & CEO. Over to you, sir.

Anuj Mathur: Yes, thanks Prayesh, and good evening to everyone. And a very warm welcome to our earnings call. In fact, this is the first time after our listing that we are kind of announcing our full-year performance, so a very warm welcome to all of you. In fact, we sincerely appreciate your time and thank you for joining us today. Your continued engagement and insights are deeply valued. The financial results along with the investor presentation is available on our website as well as on the websites of both the exchanges.

So friends, I'll start my discussion with some key macro developments which impacted the quarter. The global operating environment continues to remain uncertain with ongoing geopolitical developments leading to supply-side disruptions across multiple sectors. However, despite these headwinds, the Indian economy has demonstrated resilience and we believe its long-term growth fundamentals remain firmly in tact.

The insurance sector has seen some temporary moderation, though our long-term outlook remains unchanged, supported by structural drivers such as increasing penetration, under-penetration, and steady growth in household savings.

From a regulatory perspective, we welcome the transition to Ind AS, which will align our financial reporting with global best practices and over time bring increased consistency and transparency to business performance metrics. However, given that it is too short a time period, we have taken a prudent approach and obtained board approval to take three or four forbearance for a period of one year, which is in line with the IRDAI guidelines. So we will be writing to the regulator for that forbearance shortly.

Friends, now let me discuss the highlights of the business performance for FY26. Financial year

2025 -2026 witnessed significant milestones in terms of our listing, our IPO, launch of agency business, and superior business performance, which I am going to touch upon now. So on growth parameters, we delivered healthy individual WPI growth of 19% year -on-year, 20% in APE terms in FY26, which is in line with the guidance that we provided last year.

Canara HSBC Life Insurance Company Limited

April 28, 2026

Page 3 of 18

We continue to outperform both the industry and private players by a big margin. In fact, our growth rate was highest amongst the top 10 players in WPI terms in the industry, which demonstrates the strength of our business.

In Q4 FY26, we grew at 15% year -on-year and we saw a very decent shift in our product mix towards traditional and protection business. I am also going to touch upon our Value of New Business, VNB, and VNB margin when I come to financial metrics. Key highlights during the quarter was shift in pr

oduct mix towards traditional segment, which led to the share of traditional mix rising to 81% in Q4 FY26 compared to 39% which was till December 2025.

Consequently, for FY26, the overall mix between linked and non -linked stood at 51%, and that is with the guidance which we gave last time that we would like our product mix to be more balanced, and this is what is there in the actual numbers. This reflects our strategy to pivot towards a balanced product mix and demonstrates our ability to proactively recalibrate our product portfolio to optimize value.

Given the healthy growth that we have witnessed, our rank amongst the private players has improved to 9th in FY26 compared to 10th in FY25. This is on WPI basis. Within traditional, growth was broad -based and led by new product launches in both par and non -par segments, which grew at a steady pace of 15% year -on-year for FY26 with a share in total APE at 28%. I would now like to talk about the protection business.

So our protection business saw significant growth with credit life growing at 40% year -on-year for the quarter, while individual protection continued to grow from a low base. Share of total protection rose to 7% in FY26 from 4% in the prior year FY25, and we'll continue to focus on this to increase our protection mix further. Coming to annuity, in APE terms, we saw healthy growth of 24% year -on-year for FY26 with share largely steady at around 14%. We continue to focus on deferred annuity, which provides long-term customer value and earnings visibility. I will now talk about our persistency. So friends, our 13th month persistency also saw significant traction and I am happy to share that renewal premiums maintained very steady momentum, recording a 25% year -on-year growth for FY26. We continue to see improvements in persistency across cohorts. Our 13th month persistency has risen to 86.3% from 84.4% in FY25, so it's a 1.9% jump in 13th month persistency.

Our 61st month persistency has also shown steady improvement and currently stands at around 55.5%. These consistent improvements underscore the strength of our customer retention, the quality of sales practice . And the long -term sustainability of our growth trajectory. Along with the premium growth, our number of policies also grew at 7% year -on-year, which shows gradual movement towards increase in penetration.

Friends, while early days, I am happy to share that our recently launched agency channel is performing in line with the company's plan. We have onboarded about 500 distributors . And we collected a premium of INR14 crores in APE terms in this channel in less than six months of our launch. We will continue to scale up this channel in a phased manner and remain confident of further growth in FY27. Our alternate channels have also grown by 29% over previous year and

Canara HSBC Life Insurance Company Limited

April 28, 2026

Page 4 of 18

currently it contributes to roughly 9% of our WPI. We are on this journey to increase share of alternate business to 15% over next three years.

Now let me take you through some of the key financial metrics. So our value of new business, VNB, for FY26 stood at INR627 crores , registering a growth of 41% year -on-year. Despite GST headwind, we reported a healthy VNB margin of 22.4% for FY26, up from 19.1% in FY25. The margin improvement was led by a favourable product mix shift towards protection and improvement in product level margins. Without GST impact, our margin would have been around 24.6%, which is closer to the market consistent margin.

Coming to profit after tax for FY26, it stood at INR127 crores , an increase of 8% year -on-year.

On the expenses side, we continue to work on optimizing our expenses on the back of increase in volumes and continuous technology initiatives, various AI initiatives. Consequently, our total expense ratio was stable at 18.7% in FY26. Excluding GST and Labour

Code impact, it is at

17.5%. Our Embedded Value grew at 18% year -on-year, reaching INR7,233 crores with an operating RoEV of 20.7%. Our solvency ratio remains comfortable at 190%.

Coming to customer centricity, that's a focus area for the company. We continue to see improvement across key metrics which measure customer centricity. I earlier touched upon improvement in our persistency across cohorts. I am happy to share that we continue to excel on customer services front and have witnessed a significant improvement in our NPS score, net promoter score, which is a testimony of the customer experience.

Our net promoter score, NPS, has improved from 76 in FY25 to 80 in FY26. Our claim settlement ratio has also improved from 99.4% in FY25 to 99.6% in FY26. Another important achievement for us, which is on the people front, we participated in the Great Places to Work survey. We've been doing that for last five years and our ranking has improved there also. So we used to be in top 50 in BFSI space.

I am happy to share that our company now features in top 25 companies in the BFSI space as per this latest GPTW survey. Just to close now to conclude, we would like to re-emphasize our strategy of maintaining above -industry profitable growth, balanced product mix, consistent growth in VNB, and a phased growth of our agency channel. So thank you everyone, and with this we are now happy to take any questions that you guys may have. So over to you.

Moderator: Our first question comes from the line of Mohit Mangal from Centrum.

Mohit Mangal: My first question is on the economic variance in the EV walk. So it's about INR820 million negative. So could you just spell out the reasons for the same?

Anuj Mathur: Yeah, good evening Mohit, and I'll ask my Appointed Actuary, Nitin Agarwal, to answer this.

Nitin Agarwal: So the main reason for this is actually the equity reduction, so the fall in equity markets. So that has resulted in the UL, because you know the good proportion of UL is invested in equity. So the future charges, particularly the fund management charges, the impact of that on VIF is the main reason for the economic variance being negative in for this particular year.

Canara HSBC Life Insurance Company Limited

April 28, 2026

Page 5 of 18

Mohit Mangal: Okay. And if you can just split between equity and debt, that would be very helpful.

Nitin Agarwal: So the difference is coming actually, the reduction is mostly coming from the equity side. On the debt side, generally what's happened is on the VIF and net worth side they mostly cancel out.

You know, there's an offsetting impact on the net worth of the VIF, whereas on because on the equity on the unit-linked side, mostly it's the VIF that comes through. So the bigger impact is coming from equity; the debt side is very marginal.

Mohit Mangal: Understood, that's helpful. My second question is on the GST. So I think, last time you said that about 185 basis point impact and I think we are in line with what you said, the impact on the VNB margin. Now going forward, how do you see, this kind of panning out say in financial year '27, '28? Do you see the VNB margin increasing and the impact of GST decreasing, or how should we look into that?

Tarun Rustagi: So hi, thanks for the question. So GST, so we have re-based the margin now, where we have already taken impact of six month of the GST impact. Plus, like we mentioned that on the renewal commission we have already taken calls which is actually helping us to reduce the GST impact in future also. So keeping that in mind, we don't see that it is going to further impact.

Obviously there will be some annualized impact next year, but at the same time as our business is growing, the product mix is shifting, and also the protection mix is increasing, we expect that the margin is expected to grow from the current level what we have reported. So this is what we

are targeting.

Mohit Mangal: Understood. But you're not giving any numerical guidance?

Tarun Rustagi: So in terms of the VNB guidance, it will be around -- so we'll improve over what we have reported this year. So it will be around the 22% between 22% to 23% range.

Mohit Mangal: Understood, that's very helpful. Also, now good start to the agency channel. Wanted to know a little bit as to what they are selling, how has been the response, if you could just throw some color on that?

Anuj Mathur: Sure, yeah. So actually we have done well in the first six months of our agency launch. I've got our Chief Agency Officer, Dinesh, with me. So maybe he'll talk about key matrices and the plans.

Dinesh Tak: So good evening, this is Dinesh. We've started on time as we wanted on 1st of October and we are in the initiation stage of agency build-up. The leadership is in place and this is the first step that we have taken. And coming forth, I think quarter-on-quarter we will now move on towards scaling up the business contribution coming from this channel.

The product mix, the quantum of business is that we've done now is INR14 crores. So we are right now looking at more from a perspective of making a meaningful contribution in the overall business, and the product mix will be in line with what the organization is looking for.

Page 6 of 18

Anuj Mathur: And overall we are looking at close to 5% contribution coming from agency over next three years. So I think that's a broad guidance I'd like to give.

Mohit Mangal: Understood, that's helpful. Last data -keeping question, if you can spell out the rider attachment rate.

Anuj Mathur: Okay. So it's about 70% on the UL base, unit -linked policies, roughly 70% policies we are able to attach protection riders in premium terms.

Mohit Mangal: Understood.

Tarun Rustagi : I'm sorry, actually it's on NOP base. So in terms of number of customers, so 70% of the eligible customers we are able to attach riders.

Mohit Mangal: Okay, but in premium terms what that would translate to?

Tarun Rustagi : That number, okay. In the premium term it's in terms of total overall ULIP, it is around 5% of the total premium which we have collected from unit -linked.

Mohit Mangal: Okay, so there's a big difference.

Tarun Rustagi : Yeah, yeah. So the ticket size of riders are very small, but it helps to enhance the margin of the unit-linked. So we are able to do that. So in terms of NOP it is around 70 plus, but in terms of premium size it is the 5% of the total.

Mohit Mangal: No, no, I got it, got it. Very helpful. Thanks and wish you all the best.

Moderator: Thank you. Your next question comes from the line of Ansh Mehta from Value Partners. Please go ahead.

Ansh Mehta: Hey hi Anuj, hi Tarun. Nice to touch base again. Just two questions from my side. First is we've seen some media reports on HSBC sort of increasing its stake,

Moderator: Sorry to interrupt, could you come close to the mic.

Ansh Mehta: Can you hear me now?

Moderator: Sir, you are sounding muffled if you're using any external Bluetooth headset or anything, I request you to use the headset mode please?

Ansh Mehta: Sure, can you hear me now?

Management: Yes it is better.

Ansh Mehta: So first question is with regards to, we have seen some media reports that HSBC might increase its stakes, in Canara HSBC life. Is this coming from PNB or Canara Bank? And how does that impact our product and channel mix? That is the first question in the near term.

Canara HSBC Life Insurance Company Limited
April 28, 202 6

Page 7 of 18

And then the second question is with regards to the statement from the DFS Secretary with regards to open architecture. You know, already in Canara Bank we have sort of LIC policies being sold, but you know what will be the impact in terms of counter share ? Do you think LIC co

unter share will increase in Canara Bank?

Moderator: Sorry to interrupt. I'm sorry, your volume is modulating.

Anuj Mathur: So if I just repeat your question, Ansh, first question was related to the media news with respect to HSBC and the second question what you are saying asking is the statement made by DFS with respect to Banca and you also mentioned that the LIC is already there as a one of the distributor in Canara Bank. So you want to understand our view, right?

Ansh Mehta: Correct, yeah.

Anuj Mathur: Yeah. So on the first question, I'll say it's a media speculation and as a company we would we don't comment on media speculation. So that's on your first question. On the second question, we have also read from media but we haven't got any kind of detail s further fr om the DFS or regulator.

So we will await regulatory guidance, but I would like to confirm that in our case, Canara already has one more option. So in addition to Canara HSBC, they have products from LIC also available on the counter. So that's there. So we don't see this as any k ind of big risk for us becau se we are already in that mode.

In terms of counter share, LIC is there for some time and I think currently their share is minuscule and our focus will continue, we are going to grow our business. So we are fairly confident that we will be able to manage our growth in Canara Bank. Hope t hat answers your question.

Ansh Mehta: Yeah, so that's very clear. And just on the, of course I understand you cannot comment on media speculation, but what will be the difference in terms of the product mix at HSBC branch versus a Canara Bank branch in terms of, more protection through HSBC i f you can just comment on the product mix difference?

Anuj Mathur: So first of all, Ansh, I would request you to please de-link the two topics. So if you want to know the product mix in Canara and product mix in HSBC, I can share those numbers with you currently as they stand. So it has got no linkage first of all with the shareholding, so I just wanted to clarify on that front.

So in HSBC, because the kind of customer profile we have where the risk appetite is also higher, there our unit-linked proportion is around 60% or so. And in Canara Bank, our UL proportion again would be in the range of about 50%. So that's the broad kind of indication for the time being.

Ansh Mehta: Right, understood. Okay, okay, that is very clear. Thank you so much and all the best.

Anuj Mathur: Yeah, thanks Ansh.

Canara HSBC Life Insurance Company Limited

April 28, 2026

Page 8 of 18

Moderator: Thank you. Your next question comes from the line of Sanket Godha from Avendus Spark. Please go ahead.

Sanket Godha: Yeah, thank you for the opportunity. Sir, if I add back the GST impact and Labor code impact, honestly you are closer to 25% and you guided that the number will be more 22% to 23% for the full year next year. So is it not fair to say that the real number is more closer to 25% going ahead, or I am missing something when you said 22% to 23% kind of a number for the next year?

Tarun Rustagi: So Sanket, thanks for the question. So what -- so in this 22.4, there is also benefit which we have got from the yield curve and which there is a possibility that it might not, repeat itself in the current year which is '26-'27. So if you look at the walk which we have presented, so that if I take away that, plus there is a full-blown impact of the agency growth which will be a negative strain.

So that is also going to take away some bit of a margin. So this therefore what we are expecting that will continue to grow our margin and expected to reach around the range which we have provided. So that is going to be our guidance.

Sanket Godha: So which means that the yield curve benefit maybe largely will pass on to the end consumer in the current year probably, and therefore and therefore that benefit what you got 200

basis points

in the current year might not be there and therefore more realistically you're looking at 22% to 23% kind of a number. That's the way I need to understand?

Tarun Rustagi: Yeah, so there is a possibility that we have to pass on that benefit to the customer and also it depends on the market direction. So if let's say the yield curve is going to further improve, then obviously we'll get a continued to get the benefit, otherwise it has corrected from the last, it as it crossed 7% 10-year G-Sec rate if I say, but now it has come back again to 6.75% to 6.9%. So I think that is something which will be totally depending upon the market.

Sanket Godha: Sorry to ask again. I suppose the yield curve broadly remains at the current level for the last part of the next year. Then the only reason the margin should be 20 to 23 is that if you pass on the benefit to the end consumer. Assuming macro doesn't change?

Nitin Agarwal: Actually just one more thing, because the GST impact actually for last year was only half-year impact, whereas in the coming year it will be a full-blown impact of full year. So that will also have a negative impact, plus we obviously have agency also the re with a full-blown, so that could also have a detrimental impact. So in spite of the yield curve, that is the reason why we are giving a direction similar to what we have reported.

Sanket Godha: Okay, understood. And this operating assumption change 50 basis point negative impact is largely because of the investments you made in agency channel?

Nitin Agarwal: No, the operating assumption change negative one is the is mostly on account of some of the demographic assumptions that we made. We've strengthened some of our persistency assumptions as we've seen improvement in our persistency assumptions. So this is more like a 1x, negative impact but over the future we will see positive impact coming out of that.

Canara HSBC Life Insurance Company Limited

April 28, 2026

Page 9 of 18

Sanket Godha: And that explains the same in the EV walk, right? That INR9 crores number probably?

Nitin Agarwal: That's right, that's right.

Sanket Godha: Okay, understood. And given our economic variance number -- sorry operating variance number seems to be meaningfully very big, around INR130 crores in the EV walk, just wanted to understand where it came from, assuming I am believing it should not be related to mortality given you said it's largely because of the opex?

Nitin Agarwal: Yes, that's correct. It's largely because of the opex, so opex efficiencies and obviously the

number of policies and the volumes are increasing. So that is helping our unitized cost. So the per policy cost is improving and that is flowing into our EV. And this is the same direction or guidance which we provided, you know, throughout that we will continue to have an operating positive variance coming to us as we increase our base and also efficiently run the business on the expense side.

Sanket Godha: Understood. No, the reason I was asking also is that given we have seen improvement in the persistency, maybe if you have revised the assumptions based on that or if you had a variance or positive benefit because of the persistency improvement, that is also getting reflected in this INR130 crores or not?

Nitin Agarwal: So the persistency assumption is not getting reflected -- so it is indirectly getting reflected because of persistency, the number of policies are increasing. So for our maintenance cost, you know, the maintenance cost getting divided by the number of policies, that is helping our per policy cost. So that is right, so that is also helping. But indirectly, not in the demographic assumption column. Over there, it's a one-time negative impact. But over here, it's coming as a positive.

Sanket Godha: Understood. And another two questions. One is more on capital side. Suppose we are at 190 % solvency and

maybe I am not sure whether the sub-debt what you intend to raise is part of this 190 or not. If it is not, that might further improve it. But if you intend to grow more protection or more non-par or more annuity, which -- and even agency, which are capital strain or strain to your P&L, then whether it will trigger some kind of capital raise or anything on those lines, or you think this 190 is good enough to take care of this current growth rate of 20% plus what you're reporting for the full year?

Tarun Rustagi: Yeah, Sanket, 190 includes sub-debt which we raised, 250 cr. There is a negative impact, MTM impact, which is actually impacted the solvency adversely because we have some equity in the non-unit linked fund also. And as per the solvency, you know, calculation, we have to take the MTM unrealized losses there, which has already recovered to the extent, you know, almost 50% to 60% now. So this is a short-term impact which we have seen.

So our solvency is going to go back upward of, you know, 200% and that will be sufficient for us to write the additional protection business which we are targeting. And as and when we will be requiring more capital, we'll be again evaluating, you know, the timing and the quantum of that.

Canara HSBC Life Insurance Company Limited
April 28, 2026

Page 10 of 18

Sanket Godha: Understood. And lastly, if you can give that number of protection, which is INR205 crores, broken down into retail and credit life?

Tarun Rustagi: Almost 50-50.

Sanket Godha: Almost 50-50. Okay, understood. Yeah, that's largely my questions. If any, I will come back in the queue.

Nitin Agarwal: Thanks, Sanket.

Moderator: Thank you. Our next question comes from the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe: Hi, thanks for taking my question. Yeah, I was looking at your VNB walk and when I look at the business impacts of around 340 basis points positive, you know, this largely reflects the growth in protection business, right, or is there any other change in composition? Because the composition broadly suggests that it's similar.

Nitin Agarwal: So yeah, so I would attribute it to primarily three reasons. So one, as correctly pointed out by you is the increase in protection mix both on the individual and credit side. Second is the higher rider attachment as we already mentioned that about 70% rider attachment, which is again something which we'll continue to grow because right now we are still focusing on, you know, one or two riders, but in future we see a potential to increase our riders, number of riders as well, like CI and every thing, something which we are not still exploring too much while it's there in the product suite.

So that's something again which we expect to increase going forward. And the third one is coming from the credit life and the PT-PPT mix. So our business profiles have also, we've also been focusing this year on higher PT-PPT mix which has also both in the ULIP and Trad side, which has also helped grow our margins.

Nischint Chawathe: Got it. And just one small thing, have you given any guidance or shared any thoughts on the growth that you're looking at this year on the top line growth?

Anuj Mathur: See, on that basis, the current uncertainties which are there, the geopolitical uncertainties, we would not like to give any kind of guidance for the time being. One thing which I'll definitely like to mention and we are pretty confident about that is that our growth will be superior to the industry growth, which you would have seen in the past also, that we'll continue to outperform

the industry.

And once there is clarity on this geopolitical front, then we'll be happy to give guidance on the top line also starting from next quarter. But as I mentioned, we are fairly confident that our growth will be superior to the industry growth.

Nischint Chawathe : And fair to say t

hat the forthcoming guidelines on whatever changes could be made on agency commission or deferment or whatever is in the work, don't affect you as much?

Canara HSBC Life Insurance Company Limited

April 28, 2026

Page 11 of 18

Anuj Mathur: See that in fact we have been -- we have shared in the past also that our commission rates are quite reasonable. So we don't have the exact numbers coming in the new regulation, so can't really comment on that, but I think we are pretty kind of well -positioned to take care of that. I don't think so it will be a challenge for us while we await final numbers or guidance coming from the regulator on that.

Nischint Chawathe: And just one last thing is IFRS readiness. Would you kind of wait for a year and do you kind of do IFRS for HSBC?

Tarun Rustagi : No, so we don't report IFRS number to HSBC and we were actually going as per the earlier schedule of 1st April 2027. And as mentioned in the opening comment by Anuj, we are going for a forbearance for 1-year and will be implementing from 1st April 2027.

Nischint Chawathe: Got it, got it. Thank you very much and all the best.

Tarun Rustagi : Thanks.

Moderator: Thank you. The next question comes from the line of Swarnabha Mukherjee from 360 ONE Capital . Please go ahead.

Swarnabha Mukherjee : Yeah hi sir, thank you for the opportunity. Couple of questions from my side. First sir, as you had mentioned that your expectation is to outperform the industry growth, I just wanted to understand from the product point of view, in which segments do you anticipate, will be the major driver of the growth?

I understand the cyclicity that might be there in categories based on the overall macro environment . But when I look at a quarterly level your mix etc etera , so normally I think Q3 kind of growth has been looks like gets driven a lot by ULIP and then in other quarters I think share of traditional products pick up.

So maybe, if you could highlight, what would be your thought process regarding , say, product segment level growth, that would be helpful. And if you can also highlight maybe what -- is it just the factor of macros where we have in the last two third quarter numbers have seen a higher mix of ULIP or is there any channel level strategy that kind of leads to that? That is my first question.

Second is I just wanted to also understand the sensitivity numbers that you have reported in terms of embedded value from FY25 vis -a-vis that in FY26 there has been quite a drop. So just wanted to understand how this is playing out in terms of the numbers.

And thirdly, yeah, sorry sir, one last question again on the product mix side is that I think so this is -- and sorry I had joined in a little late, maybe you have mentioned in opening statement, but this is more like protection and I see that there is also traditional savings you were mentioned in the presentation. So is this like non -par product? Because par y ou have mentioned I think separately. So just wanted a clarification on this sir. Thank you.

Canara HSBC Life Insurance Company Limited

April 28, 2026

Page 12 of 18

Anuj Mathur: Sure, sure. So I'll try to first answer your first question and third question together and then I'll request our Appointed Actuary to talk about the sensitivity. So see, first of all , I'd like to mention that we should not be looking at month -on-month or quarter -on-quarter position. I think our overall strategy is very clear that we want a very balanced product mix, which would mean roughly 50% in ULIP and roughly 50% traditional. So t hat is number one in terms of our overall strategy on the p roduct mix.

Number two, yes, the market conditions also impact to some extent in terms of market appetite for a particular category of product. So we have seen last particular last quarter, which was JFM quarter, obviously the markets were not very supportive. So obvi ously the customer

preference

also shifts accordingly. But I'll also like to mention that new product launches also play a very important role in this.

So in fact in the month of February and March, we had launched new traditional products, one

was par, the other was non-par, and that had some kind of good customer outcome which resulted in our traditional mix actually going up in these 2 months. So I would say there are couple of factors which determines what kind of product mix for a particular period, but largely, and I think my request will be that we should look at it from long-term perspective.

When I say long-term, at least 1-year, that product mix will be balanced and within that as and when we launch products or depending upon the market conditions, percentages can go up and down. There can be minor variation, but on overall basis from long-term perspective our guidance is very clear and we stick to that. Now I'll request my colleague Nitin to talk about the sensitivity.

Nitin Agarwal: So on the interest rate sensitivity, I think this is something which we've been talking about the last few investor calls as well, that we've been working, it's been a tactical -- tactical call to increase our assets -- duration of our assets, which has helped in reducing the sensitivity. In addition to that, we've also been increasing our hedging ratio, so we've been increasing our investment in derivatives, which is also helping in reducing the interest rate sensitivity.

Swarnabha Mukherjee: Right sir. Okay, understood. Just couple of follow-ups. Maybe -- can you maybe sir highlight what proportion of your book would be hedged right now and instruments you are using for the same? And sir, Anuj sir, I mean just wanted your views on how do you see say over a cycle maybe not near-term, of course, because of the volatility in the market. But how do you see the overall industry level APE growth pan out in the life insurance industry over say maybe a 2-3 year point of view, assuming that it's a relatively normalized scenario? Yeah, thank you so much.

Anuj Mathur: Right. So in terms of business growth, top line growth, my expectation is that in this year, the current year, because of the geopolitical reasons, the industry may grow in the range of about 10% or so. And over longer term and considering that the regulatory environment continues to be favorable, which it is currently, and the markets also stabilize, I think we can expect growth in the industry to the tune of about 12% to 14%. That's my take in terms of the industry growth.

Swarnabha Mukherjee: Right, sir. Got it. And on the hedging part, sir?

Canara HSBC Life Insurance Company Limited

April 28, 2026

Page 13 of 18

Nitin Agarwal: And the hedging, so we are at about 70% hedging ratio right now and we mostly invest in FRAs, the forward rate agreements, as well as we've recently started investing in bond forwards as well.

Swarnabha Mukherjee: Okay, sir. Okay. This is very helpful. Thank you so much, sir, and all the best for FY27.

Nitin Agarwal: Thank you.

Anuj Mathur: Thanks.

Moderator: Thank you. Your next question comes from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain: Thanks for the opportunity, sir. My question is on channel mix and which channel drove growth in FY26 because we don't have FY25 data to compare. So which channels drove that mix and how do you see growth potential in Canara Bank, let's say, from a medium-term perspective?

And how are you planning to drive that growth in Canara Bank?

Anuj Mathur: Right. So we witnessed growth across all channels, so whether it was Canara, whether it was HSBC, or other alternate channels, across channels we have seen decent growth. Coming to the split in terms of Canara contribution, that was about 72%. HSBC was 14%. Other banks close to about 6% and remaining 8% was alternate. So that that is the broad split: 72, 14, 6 and

8. This

is in terms of channel-wise contribution as of now for last year.

Nidhesh Jain: And on the potential in Canara Bank, how do you see growth potential in Canara Bank and let's say in terms of branch penetration, how many branches we have penetrated, what is the potential, etcetera and how do you plan to drive growth there?

Anuj Mathur: No, I think we have really good potential in Canara Bank and this is something which we have shared over a period of time also since our listing, that the customer base is huge. It's about active customer base if I talk about in Canara, it's about INR 8.5 crores customer base. Currently our penetration is less than 2%.

So there is ample scope for increasing our penetration. Coming to branch activation, our definition of activation is that a policy which is more than INR 50,000 ticket size, if minimum 10 policies have been sold in a particular branch, then we consider that as active. So that's the definition of our activation.

And currently, going by this parameter, 54% of Canara Bank branches are activated. And if you ask me whether all the branches have sold some policies, then my answer would be yes, there would be branches who would have sold 1 policy, 5 policies, 10 policies, but our threshold is 10 policies with minimum ticket size of 50,000 and our activation has actually improved as I mentioned to 54%, it used to be 50% previous year.

Nidhesh Jain: Sure, sir. That's it from my side.

Moderator: Thank you. Your next question comes from the line of Vinod Rajamani from Nirmal Bang.

Vinod Rajamani : Yes, thank you for taking my question. Sir, one question on this adjusted networth which has declined from 18,504 million to INR15,600 odd million. So the question is based on this APE CAGR of above industry growth and this growth that we are seeing as well in protection as well as non-par and annuities, what is the capital requirement?

I mean, if you have a 3-year plan, what will be the capital requirement and is it self-sustaining at current levels or do you think there will be further -- there could be further capital raises or subordinated debt in FY 27 or in the next 3 years? I mean, I just want to walk this capital raise that you have done and what is built in terms of the growth expectations for different product categories. So that is question number one?

The second question I have is on the agency channel. Now that we have started recruiting and so on and we are building out this agency channel, what is our expectation in terms of say in the next 2 years, 3 years what level do we want to scale it to and what targets do we have in mind? So these are the questions I have? Thank you.

Tarun Rustagi : Right. So I'll start with the first one. So like we mentioned that right now our capital is good enough to take a growth of protection business and various cohorts. And basis the projection which you are asking is, there is definitely if the capital need is there, we will be reaching market and raising the subordinate debt if that is required.

But as our profit is building up, that will continue to provide the support for this capital need what we are looking for. So it is the growth and everything is well-planned and structured and all the parameters are considered for capital requirement and for various product mix and the growth which we are targeting.

Management : Yeah. On your agency question, I'll ask Dinesh, our Chief Agency Officer, to provide some details.

Dinesh Tak: Yeah, good evening. We actually want to invest in the channel from a long-term perspective and for diversification and it's a strategic priority for us. Our roadmap centers on Tier-1 led branch strategy and we want to make a meaningful contribution of around 5% in next 3 years' time. We have to also be clear that it has to be

a sustainable growth and it has to be done in a phased manner. That's the current guideline that we have. And we are seeing some encouraging signals in the initial phase of first 6 months.

Moderator: Thank you. Our next question comes from the line of Mr. Prayesh Jain. Please go ahead.

Prayesh Jain: Yeah hi, thank you for the opportunity and congrats on a great set of numbers. First question is on while you alluded to the dynamics at Canara, could you also throw some light on HSBC as to what's the kind of penetration and I think if I remember correctly there are more number of branches that HSBC is opening up. So what's the status there and how are we scaling up there? That's my first question. I'll follow up with my second later?

Anuj Mathur: Sure, okay. So HSBC has actually delivered good growth of 29% last year and I think that trajectory will continue. As you rightly said, HSBC is in expansion mode. So 8 branches they have opened over and above 26 branches which were there already. So we are seeing very good Canara HSBC Life Insurance Company Limited

April 28, 2026

traction in HSBC and we are also looking forward to starting with the GIFT City business, which will also add to the business growth.

So we are very, very kind of optimistic about growth of business in HSBC coming from obviously the NR base which is there. And to answer your specific question on penetration, in the premier segment which they have where we primarily sell insurance, our penetration is close to 14%.

Prayesh Jain: Okay. So is there any other channel which is not available to us today to address like a credit card customer or any other category of customer at HSBC which we are not serving today and has a potential to be opened up for us?

Anuj Mathur: Yeah, so there are segments. So, for example, personal banking is one where we are expanding and also the credit card customers who may not be having bank account. So we have created propositions specifically to address that base. So we are very much aware of the potential which exists even in these categories and we are kind of getting products to suit those needs. In fact, credit life also is something which we sell in HSBC and as the bank is focusing on mortgages, our contribution from credit life will also increase.

Prayesh Jain: Right. And like when we compare such a Canara and a SBI or your other PSU large bank

supported players, there's obviously a big gap between the branch productivity. Obviously you've worked over the last few years to kind of improve the momentum there. What are new initiatives that Canara would be taking to ensure that we continue to grow at a healthy pace and so I think yeah that was my second question?

Anuj Mathur: Right. So first of all we are focusing on the branch activation. We want to further increase it, currently it's about 54%. We want to increase the activation. Number two on the productivity, there also we have taken certain initiatives and we are using analytics to kind of figure out those particular cohorts where the potential is higher.

So that's one way of also getting into that customer base which may not be visiting branches but have the wealth or the kind of need for protection. So, so that's where we are focusing upon taking help from analytics, customer segmentation, all of it to improve both branch productivity as well as branch activation.

And you are right, there is currently gap between SBI and other public sector banks, but if I talk about the numbers, actually Canara productivity levels are just next to SBI and amongst the PSU banks after SBI, it's Canara Bank with the productivity and the activation numbers which are there. So we are focusing there on business and as I mentioned earlier also there is lot of potential and we are following segmented approach and help from the data analytics to kind of further penetrate. So that's what we are

doing currently.

Prayesh Jain: And last question is on agency channel, you know obviously, we have a decent branch network and already you know some bit of infrastructure already in place right?

Anuj Mathur: Right.

Canara HSBC Life Insurance Company Limited

April 28, 2026

Page 16 of 18

Prayesh Jain: So you know so, from say you know somebody is setting up from ground up zero to someone like you, what kind of different share and what kind of momentum or do you think that the kind of profitability that you're delivering do you want to front end expenses, some bit of more color apart from what you've given so far?

Anuj Mathur: Right. So we are currently leveraging on the branches which we have. So we have about 105 branches of Canara HSBC. For agencies specifically we want to be active in at least 50 locations.

So that will be mix of some specific new locations as well as using our current branch infrastructure.

So that's how we are going to optimize. And our backend is all in place for last 17, 18 years. So we are leveraging on that in terms of expansion. So basically it's the new branches plus the number of distributors we are going to engage and the manpower to support that.

So basically the investment is going to be primarily in the front end capabilities and we are going to leverage on our existing branch network.

Prayesh Jain: Got that thank you so much and wish you all the best.

Moderator: Thank you. Your next question comes from the line of Siddharth Rajpurohit from Systematix Group. Please go ahead.

Siddharth Rajpurohit: Good evening, thank you for the opportunity and congratulations on the good numbers. Hope I'm audible. Yeah, thank you. So first on your new product, do you see any more gaps in your existing products segments where you think you would be launching more products there?

Anuj Mathur: See our product suite is complete. Actually we have products across various categories. So first of all I'll like to mention that there are no gaps in our current product suite, but you can always improvise and in fact there are new ideas which keep coming up and that's what we have done. When I talked about two new traditional products which we launched in February and March, what we looked at was on customer need as well as offering some attractive proposition. So it's an ongoing thing. So I'll not say there is a gap in the product suite, product suite is complete catering to all segments across age groups, but you, you always have the opportunity of designing new features, offering something innovative, and from the product development side we always keep kind of focusing on some of these initiatives which is helping us in kind of growing our business volumes.

So it's an kind of I'll say ongoing journey and we'll continue to innovate our products and offer features which are unique in the market.

Siddharth Rajpurohit: Okay. On the volatility in the mix which actually generally it is with other bank also, but we don't have the long period history of our, our insurers. So, so what generally how is the volatility, is it a Q4 being heavily means the Q3 being heavily focused on ULIP and then Q4 heavily moves away from ULIP? Is that the trend historic

Canara HSBC Life Insurance Company Limited

April 28, 2026

Page 17 of 18

Anuj Mathur: Yeah, see first of all I'd like to mention that , actually we don't look at month -on-month or quarter -on-quarter. The guidance which we have given is for the year and depending upon the market conditions, depending upon the needs, we may kind of make some tweaks. So the broader guidance is 50% kind of UL and 50% traditional, and month -on-month, quarter -on-quarter it may vary.

So there is no fixed seasonality I'll say in terms of product mix, but depending upon the market conditions, customer ask, and new product launches, we may see spikes happening in certain months and w

e may see unit -linked selling in those months where the markets are kind of giving good returns and all that.

So my , my request would be rather than monitoring product mix on a month -on-month or quarter -on-quarter basis, we should look at full year because that is what it matters. So that's how we kind of monitor internally and then we've got various sales enablers whic h we kind of keep on changing from time to time to create excitement.

Siddharth Rajpurohit: Okay. And the channel mix that you gave recently, I think it is exactly the same so , as what we have reported. So I was assuming it's for FY 26. So can yo u give the channel mix for FY 25 if possible?

Anuj Mathur: Yeah, it's almost similar. It's similar channel mix, so there is not much change between FY 25 and FY26.

Siddharth Rajpurohit: Okay. And recently RBI came with a draft on the disbursable business and do you see any implications on ground, any change in terms of the ba nk's operations after the draft? Anything would be helpful.

Anuj Mathur: See first of all we welcome such changes, but right now they are draft s, so we are looking for final guidelines to be issued and we'll be very happy to implement. In fact our sales practices are well-governed and we'll go with whatever suggestions or the guidelines issued by either RBI or IRDAI.

Siddharth Rajpurohit: Okay. Can you give the breakup in terms of your retail protection between online and offline?

Anuj Mathur: This is generally offline. There is online what we use PolicyBazaar, retail we are able to do mostly offline this time.

Siddharth Rajpurohit: Thank you and all the best.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Anuj Mathur: Yeah, thanks a lot to everyone for participating in this call. I know that it's slightly late in the evening. Thank you very much for all your support and looking forward to further engagements. So thanks a lot.

Moderator: Thank you. On behalf of Motilal Oswal, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Canara HSBC Life Insurance Company Limited

April 28, 202 6

Page 18 of 18

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